Question #1 of 200

Question ID: 1675396

What is the rule of thumb for members, CFA charterholders, and candidates in the CFA Program when weighing the requirements of the CFA Institute Code and Standards and the requirements of local laws? If the applicable laws are:

A) more strict, they must still follow the Code and Standards. ✗

B) more strict, they must adhere to the applicable laws. ✓

C) less strict, they should make a judgment call on which to follow: the Code and Standards or the local laws and requirements. ✗

Explanation

The rule of thumb for members, CFA charterholders, and candidates in the CFA Program requires that they adhere to the applicable laws if the applicable laws are more strict than the requirements of the Code and Standards. If there are no laws or the laws are less strict, they must adhere to the Code and Standards.

(Module 20.1, LOS 20: I(A))

Question #2 of 200

Question ID: 1675462

Scott Marsh is a research analyst for a brokerage firm following the computer industry. Joe Perry is Marsh's former college roommate and is the head of technology for Mercury, a large software company. Perry informs Marsh on Tuesday that in two days, the company will officially announce that its release of its newest version of its software will be moved up one month, from October 1 to September 1. The announcement will be surprising to the industry and will likely be met with skepticism because the company has had trouble meeting release dates in the past. Perry assures Marsh that he is certain that they will meet on the September 1 date. Marsh considers Perry to be very honest and highly competent. Marsh should:

A) wait until the public announcement is made, then release a report explaining that he believes the company will make the release date, disclosing that one of the reasons for his opinion is Perry is a friend of his. ✓

B) produce his research report in two days based solely on the official announcement, not taking into consideration the information from Perry. ✗

C) immediately put out a report recommending the stock, but wait until the official announcement to state his reasons. ✗

Explanation

The research report cannot be released until the official announcement is made; otherwise, Marsh will be violating the Standard on prohibition against the use of material nonpublic information. Once it is made public, Marsh can disclose the nature of the conversation without violating that Standard because the information will now be public. However, he should disclose the relationship with Perry, or he will be violating the Standard on communications with clients and prospective clients.

(Module 20.1, LOS 20.a)

Question #3 of 200

Question ID: 1675539

Brenda Clark is an investment advisor. Two years ago, Clark decided to stop calculating a return composite because of the time required to make those calculations. A prospective client asks Clark what she thinks her performance would have been over the past two years. Clark:

A) cannot answer the question because it would be misleading. ✓

B) can answer the question orally, but she cannot state the numbers in writing. ✗

C) cannot answer the question, nor can she discuss potential future market returns with the prospective client. ✗

Explanation

Any discussion of past performance would imply that Clark had made some calculations, which would be misleading. However, Clark need not calculate historical performance to be an advisor. She can also talk about her view on the future of capital markets.

(Module 20.1, LOS 20.a)

Question #4 of 200

Question ID: 1675458

Which of the following actions is *least likely* to prevent the misuse of insider information?

A) Monitoring all the phone calls made by the brokers. ✓

B) Controlling relevant interdepartmental information. ✗

C) Placing securities on a restricted list when the firm is in possession of material nonpublic information. ✗

Explanation

Standard II(A): Material Nonpublic Information applies in this situation. Standard II(A) suggests the use of "firewalls" to protect the firm and to conform to the Standards. A firewall is an information barrier designed to prevent the communication of material nonpublic information between departments of a firm. Although the firewall system should provide a means to review transactions, *it is not feasible to monitor all communications into/out of departments*. Placing sensitive securities or firms on "watch, "restricted," or "rumor" lists helps management target the monitoring of transactions.

(Module 20.1, LOS 20.a)

Question #5 of 200

Question ID: 1675394

A CFA Institute member works for Secure Securities, Inc., and plays rugby on the firm's rugby team. Secure Securities' team recently played the team of a rival firm. During the game, a fight broke out. The CFA Institute member was the instigator, but no one was seriously hurt. Is this a violation of I(A) concerning maintaining knowledge and complying with laws, rules, and regulations?

A) Yes, because the member is bound by the Code of Ethics. ✗

B) No, because a fight at a rugby game is not a professional activity. ✓

C) Yes, because the member could have hurt someone in the fight. ✗

Explanation

Standard I(A) covers members' professional activity only. Violations outside professional activity that involve fraud, theft, or deceit would potentially be violations.

(Module 20.1, LOS 20: I(A))

Question #6 of 200

Question ID: 1675398

Mary Kim practices in the economically advanced country of Oldasia as well as in the emerging-market country of Newasia. By regulation, Oldasia prohibits licensed investment advisors from trading in securities ahead of their clients. Newasia has no laws or regulations in this area. According to the CFA Institute Standards of Professional Conduct, Kim may:

A) trade simultaneously with her clients in Newasia only, as long as she has made full disclosure to her clients that she reserves the right to do this. ✗

B) trade ahead of her clients in Newasia only. ✗

C) not trade ahead of her clients in either country.

Explanation

Under Standard I(A): Knowledge of the Law, Kim must apply the CFA Institute Code and Standards or the controlling law, whichever is stricter. Because Standard VI(B): Priority of Transactions requires members to put client trades ahead of their own transactions, Kim must follow the standard in the absence of governing law or where the law is less strict than the Standard.

(Module 20.1, LOS 20: I(A))

Question #7 of 200

Question ID: 1675421

Francisco Perez, CFA, CPA, is a portfolio manager for an investment advisory firm. Due to the prominence of his position, he is often invited to attend free marketing and educational events hosted by firms that seek to inform the investment community about their investment processes. One such firm, Unlimited Horizons, has invited Perez to attend free educational events that qualify for continuing education credits, which could help Perez maintain his CPA designation. Perez should *most likely*:

A) accept the invitation, as no cash compensation is involved and the primary intent is to educate and inform the investment community.

B) decline to attend the event, as it could result in a violation of Standard I(B): Independence and Objectivity.

C) decline to attend the event, as it could result in a violation of Standard I(A): Knowledge of the Law.

Explanation

Perez should decline the invitation, as it creates the impression of lack of independence. If he does not accept the free continuing education courses, he would have to pay for them some other way, so the free courses are a form of compensation. Nothing in the question suggests the free classes are illegal.

(Module 20.1, LOS 20: I(B))

Question #8 - 13 of 200

Question ID: 1675513

Do QED's policies comply with CFA Institute Standards of Professional Conduct with respect to the information contained within its clients' IPSs and the frequency with which the information is updated?

A) Neither policy complies with the Standards.

B) Both policies comply with the Standards.

C) Only one policy complies with the Standards.

Explanation

According to Standard III(C): Suitability, members and candidates must consider investment experience, objectives (risk and return), and constraints before investing funds on the client's behalf or recommending investments to the client. The firm has complied with this part of Standard III(C). The IPS must be updated at least annually or after significant changes in client circumstances, according to the guidance statement accompanying Standard III(C). Thus, the firm has not complied with Standard III(C) in this regard.

(Module 20.1, LOS 20.b)

Question #9 - 13 of 200

Question ID: 1675514

In light of Singh's comments during his telephone call to Patel before his uncle's death, which of the following actions that Patel can take comply with CFA Institute Standards of Professional Conduct?

A) Patel must adhere, in principle, to the existing strategy, but she may begin altering the account's composition based upon Singh's expectations.

B) Patel must adhere to the existing portfolio strategy until she meets with Singh to develop a new portfolio strategy based upon updated financial information, but she may place trades that are consistent with the existing strategy.

C) Patel must not place any trades in the account until she meets with Singh to develop a new portfolio strategy based on the updated information.

Explanation

According to Standard III(C): Suitability, Patel must observe the written investment objectives now in effect as determined in cooperation with the client and may trade only on that basis. Because the anticipated change in Singh's financial condition was subject to an event of indeterminable timing, she should continue to honor the existing written investment objectives until (1) a change is warranted by an actual increase in the client's total financial assets and (2) a change has been agreed upon with her client.

(Module 20.1, LOS 20.b)

Question #10 - 13 of 200

Question ID: 1675515

According to CFA Institute Standards of Professional Conduct, may Patel reallocate Singh's portfolio toward technology stocks after his uncle dies but before the meeting with Singh?

A) Yes; the total value of the municipal bonds received into the account will be too large relative to the other assets in the portfolio. ✗

B) Yes; the funds have actually been transferred, and the timing is no longer uncertain. ✗

C) No; Patel and Singh must meet and revise the IPS and portfolio strategy before reallocating. ✓

Explanation

According to Standard III(C): Suitability, investment recommendations and actions must be consistent with a client's written objectives and constraints (usually in the form of an IPS). Because Singh's written IPS would not allow the large allocation to technology stocks before receiving the inheritance, the IPS must be updated by Singh and Patel before taking any actions that deviate from the original IPS. Patel will violate Standard III(C) by reallocating the portfolio before meeting with Singh.

(Module 20.1, LOS 20.b)

Question #11 - 13 of 200

Question ID: 1675516

Did Patel violate any CFA Institute Standards of Professional Conduct when she purchased the NetWin stock for Singh's portfolio or for the other clients' portfolios?

A) Patel violated the Standards for both Singh's portfolio and the other clients' portfolios. ✓

B) Patel violated the Standards regarding either Singh's portfolio or the other clients' portfolios, but not both. ✗

C) Patel did not violate the Standards regarding either Singh's portfolio or the other clients' portfolios. ✗

Explanation

According to Standard III(C): Suitability, Patel must analyze the appropriateness and suitability of NetWin stock on a case-by-case basis before buying it. This will necessarily consider the basic characteristics of the security and how these will affect overall portfolio characteristics relative to the existing investment strategy for each portfolio. Patel has not analyzed the effect that the stock will have on any of the individual portfolios in question and has thus violated the Standard. Patel cannot look at aggregate measures to determine the appropriate weight that the security should represent in the individual portfolios because the portfolios are being managed individually, not in aggregate.

(Module 20.1, LOS 20.b)

Question #12 - 13 of 200

Question ID: 1675517

Which of the following statements regarding the promotional announcement of Patel passing the Level III exam and her phone calls about her accomplishment is *least accurate*?

A) The fact that a promotional announcement was made violates the restrictions on misrepresenting the meaning of the CFA designation. ✓

B) The phone calls are not likely a violation unless she did not actually pass the exams on her first attempts. ✗

C) The announcement violates the Code of Ethics because it implies that obtaining a CFA charter leads to superior performance. ✗

Explanation

An announcement that a member of a firm has received the right to use the CFA® designation is not a violation of the Code or Standards. However, Standard VII(B) requires that any reference to the charter must not misrepresent or exaggerate the meaning or implications of the CFA designation. A charterholder cannot claim that holding a charter leads to superior performance results. The letters "CFA" can only be used as an adjective (never a noun, as in "he is a CFA"). As long as it is true, stating that she passed her exams on her first attempts is not a violation.

(Module 20.1, LOS 20.b)

Question #13 - 13 of 200

Question ID: 1675518

If Patel continues to trade with TradeRight, will she be violating any CFA Institute Standards of Professional Conduct?

A) No. ✓

B) Yes; Patel failed to properly notify Singh that using TradeRight would lead to higher commissions and opportunity costs. ✗

C) Yes; Patel is obligated to seek the best possible price and execution for all clients. ✗

Explanation

Because Singh directed Patel to use TradeRight, this should be considered client-directed brokerage. While Patel should inform Singh of the implications of that choice, Patel has no option but to follow the client's direction according to Standard III(A): Loyalty, Prudence, and Care. Singh was fully aware of the fees charged by TradeRight relative to other brokerage firms and elected to use TradeRight anyway. Investment managers are obligated to seek the best price and execution in the absence of client direction.

(Module 20.1, LOS 20.b)

Question #14 of 200

Question ID: 1675411

Sometimes, a CFA Institute member simply *feels* a law has been violated by his firm, and sometimes, the member *knows* a law has been violated. Which of the following pairs of guidelines is correct with respect to the first step a member should take in each case? The member should first contact:

A) the firm's counsel if he feels a law has been violated, and contact the SEC if he knows a law has been violated. ✗

B) the firm's counsel if he feels a law has been violated, and contact his supervisor if he knows a law has been violated. ✓

C) his supervisor in the firm if he feels a law has been violated, and contact the firm's counsel if he knows a law has been violated. ✗

Explanation

Standard I(A) says that when a member feels a law has been broken, the member should seek advice from the firm's counsel. If the member feels the advice is unbiased and competent, the member should follow it. If the member knows a law has been violated, the member should contact a supervisor.

(Module 20.1, LOS 20: I(A))

Question #15 of 200

Question ID: 1675565

Randal Brooks is the chief economist for a large brokerage firm. In the aftermath of a national tragedy, Brooks feels that it is very possible that the stock market will drop significantly and not recover for several years. However, he does not believe that this is the most likely scenario, but merely that the risk of investing in equities has increased. He decides to write a market commentary to the brokerage clients that discusses the reasons why the market will remain stable and talks about why he, as a private citizen, feels patriotic. He does not mention the increase risk in equities. Brooks has:

A) not violated the Standards.

B) violated the Standards by not including all of the relevant factors in the research report and making patriotic statements.

C) violated the Standards by not including all of the relevant factors in the research report, but not by making patriotic statements.

Explanation

By not mentioning the increased risk of the market, Brooks has violated the Standard on using reasonable judgment in a research report. However, the patriotic statements do not violate the Standards.

(Module 20.1, LOS 20.a)

Question #16 - 21 of 200

Question ID: 1675428

By developing the quantitative model to select stocks in the industrial sector, did Gonzales violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the underlying premise of the model is not based on adequate research or a reasonable basis.

B) No.

C) Yes, because the basic model is the property of his former employer, and Gonzales has not obtained permission to use the model.

Explanation

Gonzales has recreated the model that he developed while working for his previous employer. He did not take the model or its supporting documentation from his employer. Instead, he has reproduced them from memory and customized the model to fit his current requirements. Therefore, he has not violated Standard I(C): Misrepresentation, by committing plagiarism, nor Standard IV(A): Loyalty, because he recreated the model at StatInvest and did not simply copy the model and use it for his new employer's gain. By updating the key identifiers to reflect the industrial sector, and by backtesting the model, Gonzales has complied with Standard V(A) by having a reasonable and adequate basis, supported by appropriate research and investigation, for his analysis.

(Module 20.1, LOS 20.a)

Question #17 - 21 of 200

Question ID: 1675429

In his first report on investments in the industrial sector, did Gonzales's description of the stock selection model or its historical results violate any CFA Institute Standards of Professional Conduct?

	Model description	Historical results	
A)	No	Yes	✓
B)	No	No	✗
C)	Yes	Yes	✗

Explanation

The description provided by Gonzales is an accurate depiction of the process by which the model selects stocks to recommend for either a purchase or sell. Gonzales does not provide every detail regarding the individual factors used to screen the stocks or how the algorithm works, as these are proprietary details. In describing the historical results of the model, however, Gonzales has violated Standard III(D): Performance Presentation and Standard I(C): Misrepresentation. In his report, Gonzales omitted the fact that the model selected several stocks with zero or negative returns. By not including this result in the report, Gonzales is not portraying a fair, accurate, and complete performance record (a violation of Standard III[D]) and thus intentionally misleads his clients with the recommendations (a violation of Standard I[C]). Clients are led to believe that the model only picks top performers, and thus, the recommendations in the report imply that they will fall into this category.

(Module 20.1, LOS 20.a)

Question #18 - 21 of 200

Question ID: 1675430

In his first report on investments in the industrial sector, did Gonzales's three investment recommendations violate any CFA Institute Standards of Professional Conduct?

A) Yes, because he failed to distinguish between fact and opinion regarding expected performance. ✗

B) No, because he performed sufficient backtesting providing evidence that the model is able to predict winning stocks in the industrial sector. ✗

C) Yes, because he provided an inherent guarantee of investment performance that cannot reasonably be expected. ✓

Explanation

Gonzales has provided a guarantee that the investment returns are going to provide a return in excess of 15%. This is a misrepresentation of the return of the stocks, a violation of Standard I(C): Misrepresentation, which prohibits such misrepresentations unless there is a specific return guarantee from a government body or financial institution. Distinguishing between fact and opinion is required by Standard V(B): Communication with Clients and Prospective Clients and states in part that expectations based on statistical modeling and analysis are not facts.

(Module 20.1, LOS 20.a)

Question #19 - 21 of 200

Question ID: 1675431

Regarding his record retention actions and his reissuance of past investment recommendations, has Gonzales violated any CFA Institute Standards of Professional Conduct?

	Record retention	Past recommendations	
A)	No	No	✓
B)	Yes	No	✗
C)	No	Yes	✗

Explanation

Standard V(C): Record Retention requires members and candidates to maintain records supporting their research and investment recommendations. Gonzales has kept a copy of both his electronic and hard copy files used to generate his report, so he has complied with the Standard regarding his record retention practices. The fact that the records are stored offsite is not relevant as long as they are being appropriately maintained. Gonzales has also not violated any Standards by compiling research to support an investment recommendation he made while at another firm. As long as he did not reissue the recommendation without supporting documentation or take (without permission) the supporting documentation from the previous employer, he has not violated the Standards.

(Module 20.1, LOS 20.a)

Question #20 - 21 of 200

Question ID: 1675432

Does the referral arrangement between StatInvest and Ryers & Ovitz, Inc., violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the referral arrangement is not properly disclosed to clients and prospects of Ryers & Ovitz, Inc.

B) Yes, because Ryers & Ovitz, Inc., pays for the research out of a general overhead account, which disadvantages some clients.

C) No.

Explanation

Ovitz cannot rely on disclosures made by StatInvest, but must disclose the referral arrangement to clients and prospects herself. It does not matter that a general overhead account is designated as the source of funds for the research purchased from StatInvest. Ryers & Ovitz, Inc., and StatInvest have an agreement that provides a form of compensation to both parties and may pose a cost to the client either directly or indirectly. To assess the full cost of either firms' services, the client must be aware of the referral arrangement. By not actively disclosing the agreement, Ovitz has violated Standard VI(C): Referral Fees.

(Module 20.1, LOS 20.a)

Question #21 - 21 of 200

Question ID: 1675433

In her dealings with the local media, has Ovitz violated any CFA Institute Standards of Professional Conduct?

A) No, she has not violated anything.

B) Yes, because her comments regarding her disagreement with CFA Institute policies compromise the reputation of the organization.

C) Yes, because she has improperly exaggerated the meaning of the CFA designation.

Explanation

Standard VII(A) prohibits members and candidates from taking any action that compromises the integrity or reputation of CFA Institute, the CFA designation, or the CFA exam. Members and candidates are allowed, however, to disagree with CFA Institute policies and express their lack of agreement. Therefore Ovitz did not violate Standard VII(A). Ovitz did violate Standard VII(B), which prohibits members and candidates from exaggerating the meaning of the CFA designation. Ovitz has implied that CFA charterholders are better investment managers and more ethical than other investment professionals, which overstates the implications of being a charterholder.

(Module 20.1, LOS 20.a)

Question #22 of 200

Question ID: 1675415

An analyst has been writing research reports on a company for many years. As part of the analyst's continuing research efforts, the analyst allows the firm to fly him to the firm's headquarters and put him up in the guest quarters that the company has for all corporate visitors. According to Standard I(B): Independence and Objectivity, this is:

A) not a violation under any circumstances. ✗

B) a violation, no matter the circumstances. ✗

C) a violation if the headquarters are within a reasonable driving distance from the analyst's home. ✓

Explanation

If such a trip is "out of the way," payment by the company for the trip is acceptable. If the headquarters are within a reasonable driving distance, the analyst should drive there.

(Module 20.1, LOS 20: I(B))

Question #23 of 200

Question ID: 1675402

The Standards of Professional Conduct explicitly outlines responsibilities to four groups. Which of the following is not a group mentioned in that list?

A) The Federal Reserve. ✓

B) The investing public. ✗

C) The profession. ✗

Explanation

The Standards explicitly mention responsibilities to the profession, employers, clients, prospects, and the investing public. The Federal Reserve is not mentioned.

(Module 20.1, LOS 20: I(A))

Question #24 of 200

Question ID: 1675547

Brian Williams is a portfolio manager with Santo Capital and works on the Banks Company's account. Santo has a policy against accepting gifts over $500 from clients. The Banks portfolio has a fantastic year, and in appreciation, a Banks manager sends Williams a rare bottle of wine that he estimates is worth $300. Williams must:

A) return the bottle to the client. ✗

B) inform his supervisor in writing that he received additional compensation in the form of the wine. ✓

C) report the pension fund manager to the CFA Institute Professional Conduct Program. ✗

Explanation

The Standards require that he inform his supervisor in writing about the gift.

(Module 20.1, LOS 20.a)

Question #25 of 200

Question ID: 1675578

Nancy Westfall is an individual investment advisor who uses mutual funds for her clients. She typically chooses funds from a list of 40 funds that she has thoroughly researched. The Craigs, a married couple and a client, asked her to consider the Eligis fund for their portfolio. Westfall had not previously considered the fund because when she first conducted her research three years ago, Eligis was too small to be considered. However, the fund has now grown in value, and after doing thorough research on the fund, she finds the fund has suitable characteristics to be included in her acceptable list of funds. She puts the fund in the Craigs' portfolio, but not in any of her other clients' portfolios. The fund ends up being the poorest-performing fund in the Craigs' portfolio. Has Westfall violated any Standards? Westfall has:

A) not violated the Standards. ✓

B) violated the Standards by not having a reasonable and adequate basis for making the recommendation. ✗

C) violated the Standards by not dealing fairly with clients. ✗

Explanation

Because Westfall performed the same degree of research as she did for the other funds on her list, she provided a reasonable and adequate basis for her recommendation. There is not enough information given about the Eligis fund and how it fits in with the other funds on Westfall's list to determine whether or not the Standard on fair dealing was broken. It was the Craigs who wanted the Eligis fund, and Westfall found it to be acceptable for them; thus, she added it to her list of acceptable funds. If the Eligis fund was found to possess unique characteristics that were not found in any of the other funds on Westfall's list and the Eligis fund was suitable for some of Westfall's other clients (and Westfall hadn't added it to their portfolios after their periodic review), then a violation of fair dealing would have occurred.

(Module 20.1, LOS 20.a)

Question #26 of 200

Question ID: 1675534

The following information pertains to the Galaxy trust, a trust established by Stephen P. House and managed by Gamma Investment, LLC (Gamma):

- At the time the trust was established, House provided $5 million in cash to fund the trust, but Gamma was aware that 93% of his personal assets were in the form of Oracle stock.
- Gamma has been asked to view his funds and the trust as a single entity for planning purposes because House's will stipulates that all of his estate will pass to the trust upon his death.
- The investment policy statement, developed in September 1996, stipulates that the trust should maintain a short position in Oracle stock and use the proceeds to diversify the trust more adequately.
- House was able to sell all of his Oracle shares back to the corporation in January 1999 for cash.
- The policy statement redrawn in September 1999 continues to stipulate that the trust hold a short position in Oracle stock.
- House has given the portfolio manager in charge of the trust an all-expenses paid vacation package anywhere in the world each year at Christmas. The portfolio manager has reported this fact in writing to his immediate supervisor at Gamma.

Which of the following is *most correct*? The investment manager is:

A) not in violation of the Code and Standards for not properly updating the investment policy statement in light of the change in the circumstances, and is not in violation regarding the acceptance of the gift from House. ✗

B) in violation of the Code and Standards by not properly updating the investment policy statement in light of the change in the circumstances, and is in violation regarding the acceptance of the gift from House. ✗

C) in violation of the Code and Standards by not properly updating the investment policy statement in light of the change in the circumstances, but is not in violation regarding the acceptance of the gift from House. ✓

Explanation

The investment manager is in violation of the Standard requiring him to make a reasonable inquiry into the client's financial situation and update the investment policy statement because such a dramatic change in the client's circumstances would undoubtedly alter the investment policy statement and would probably eliminate the need to hold a short position in Oracle. The investment manager is not in violation of the Standard concerning additional compensation because the gift has been reported to his supervisor and has come from a client. If there was a failure to report such a gift, if the firm had a rule in place against the acceptance of gifts from clients, or if the gift had come from a nonclient, there would be a violation of the Standard.

(Module 20.1, LOS 20.a)

Question #27 - 32 of 200

Question ID: 1675586

By developing the quantitative model to select stocks in the industrial sector, did Gonzales violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the basic model is the property of his former employer and Gonzales has not obtained permission to use the model. ✗

B) No. ✓

C) Yes, because the underlying premise of the model is not based on adequate research or a reasonable basis. ✗

Explanation

Gonzales has recreated the model that he developed while working for his previous employer. He did not take the model or its supporting documentation from his employer. Instead he has reproduced them from memory and customized the model to fit his current requirements. Therefore, he has not violated Standard I(C) Misrepresentation by committing plagiarism, nor Standard IV(A) Loyalty because he recreated the model at StatInvest and did not simply copy the model and use it for his new employer's gain. By updating the key identifiers to reflect the industrial sector and by backtesting the model, Gonzales has complied with Standard V(A) by having a reasonable and adequate basis, supported by appropriate research and investigation, for his analysis.

(Module 20.1, LOS 20.b)

Question #28 - 32 of 200

Question ID: 1675587

In his first report on investments in the industrial sector, did Gonzales's description of the stock selection model or its historical results violate any CFA Institute Standards of Professional Conduct?

A) Either the model description or its historical results were violations of the Standards but not both. ✓

B) Both the model description and its historical results were violations of the Standards. ✗

C) Neither the model description nor its historical results were violations of the Standards. ✗

Explanation

The description provided by Gonzales is an accurate depiction of the process by which the model selects stocks to recommend for either a purchase or sell. Gonzales does not provide every detail regarding the individual factors used to screen the stocks or how the algorithm works because these are proprietary details. In describing the historical results of the model, however, Gonzales has violated Standard III(D) Performance Presentation and Standard I(C) Misrepresentation. In his report, Gonzales omitted the fact that the model selected several stocks with zero or negative returns. By not including this result in the report, Gonzales is not portraying a fair, accurate, and complete performance record [a violation of Standard III(D)] and, thus, intentionally misleads his clients with the recommendations [a violation of Standard I(C)]. Clients are led to believe that the model only picks top performers and, therefore, the recommendations in the report imply that they will fall into this category.

(Module 20.1, LOS 20.b)

Question #29 - 32 of 200

Question ID: 1675588

In his first report on investments in the industrial sector, did Gonzales's three investment recommendations violate any CFA Institute Standards of Professional Conduct?

A) Yes, because he provided an inherent guarantee of investment performance that cannot reasonably be expected. ✓

B) Yes, because he failed to distinguish between fact and opinion with regard to expected performance. ✗

C) No. ✗

Explanation

Gonzales has provided a guarantee that the investment returns are going to provide a return in excess of 15%. This is a misrepresentation of the risk inherent in the stocks and is a violation of Standard I(C) Misrepresentation, which prohibits such misrepresentations.

(Module 20.1, LOS 20.b)

Question #30 - 32 of 200

Question ID: 1675589

With regard to his record retention actions and his reissuance of past investment recommendations, has Gonzales violated any CFA Institute Standards of Professional Conduct?

A) Either his record retention or past recommendations are violations of the Standards but not both. ✗

B) Neither his record retention nor past recommendations are violations of the Standards. ✓

C) Both his record retention and past recommendations are violations of the Standards. ✗

Explanation

Standard V(C) Record Retention requires members and candidates to maintain records supporting their research and investment recommendations. Gonzales has kept a copy of both his electronic and hard copy files used to generate his report and has thus complied with the Standard with regard to his record retention practices. The fact that the records are stored off site is not relevant as long as they are being appropriately maintained. Gonzales has also not violated any Standards by compiling research to support an investment recommendation he made while at another firm. As long as he did not reissue the recommendation without supporting documentation or take (without permission) the supporting documentation from the previous employer, he has not violated the Standards.

(Module 20.1, LOS 20.b)

Question #31 - 32 of 200

Question ID: 1675590

Does the referral arrangement between StatInvest and Ryers & Ovitz, Inc., violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the referral arrangement is not properly disclosed to clients and prospects of Ryers & Ovitz, Inc. ✓

B) Yes, because Ryers & Ovitz pays for the research out of a general overhead account, which disadvantages some clients. ✗

C) No. ✗

Explanation

Ovitz cannot rely on disclosures made by StatInvest but must disclose the referral arrangement to clients and prospects herself. It does not matter that a general overhead account is designated as the source of funds for the research purchased from StatInvest. Ryers & Ovitz, Inc., and StatInvest have an agreement that provides a form of compensation to both parties and may pose a cost to the client either directly or indirectly. In order to assess the full cost of either firms' services, the client must be aware of the referral arrangement. By not actively disclosing the agreement, Ovitz has violated Standard VI(C) Referral Fees.

(Module 20.1, LOS 20.b)

Question #32 - 32 of 200

Question ID: 1675591

In her dealings with the local media, has Ovitz violated any CFA Institute Standards of Professional Conduct?

A) Yes, because she has improperly exaggerated the meaning of the CFA designation. ✓

B) Yes, because her comments regarding her disagreement with CFA Institute policies compromise the reputation of the organization. ✗

C) No. ✗

Explanation

Standard VII(A) prohibits members and candidates from taking any action that compromises the integrity or reputation of CFA Institute, the CFA designation, or the CFA exam. Members and candidates are allowed, however, to disagree with CFA Institute policies and express their lack of agreement. Therefore, Ovitz did not violate Standard VII(A). Ovitz did violate Standard VII(B), which prohibits members and candidates from exaggerating the meaning of the CFA designation. Ovitz has implied that CFA charterholders are better investment managers and more ethical than other investment professionals, which overstates the implications of being a charterholder.

(Module 20.1, LOS 20.b)

Question #33 of 200

Question ID: 1675393

Maria Valdes, CFA, is an analyst for Venture Investments in the country of Newamerica, which has laws prohibiting the acceptance of any gift from a vendor if the gift exceeds $250. Valdes has evidence that her Venture Investments colleague, Ernesto Martinez, CFA, has been receiving gifts from vendors in excess of $250.

Valdes is obligated to:

A) disassociate herself from the activity, urge Venture to persuade Martinez to cease the activity, and inform CFA Institute of the violation.

B) disassociate herself from the activity, and urge Venture to persuade Martinez to cease the activity.

C) disassociate herself from the activity, urge Venture to persuade Martinez to cease the activity, and inform CFA Institute and regulatory authorities of the violation.

Explanation

Standard I(A): Knowledge of the Law requires members who have knowledge of colleagues engaging in illegal activities to disassociate from the activity and urge their firms to persuade the individual to cease such activity. Reporting to regulatory authorities may be prudent in certain circumstances, but it is not required. Reporting to CFA Institute is not required.

(Module 20.1, LOS 20: I(A))

Question #34 of 200

Question ID: 1675385

An analyst, who is a CFA charterholder, is working in a foreign country. Which of the following statements is correct? The analyst is:

A) governed by CFA Institute's Code and Standards.

B) governed by the laws and standards of the country in which he is living and working.

C) covered by the strictest of the following laws and rules: his own country's, the foreign country's, or CFA Institute's Code and Standards.

Explanation

The analyst is covered by the strictest of the following laws and rules: his own country's, the foreign country's, or CFA Institute's Code and Standards.

(Module 20.1, LOS 20: I(A))

Question #35 of 200

Question ID: 1675423

CFA Institute members are required to do all of the following except:

A) receive permission from their employer before engaging in investment consulting outside the firm. ✗

B) disclose, in writing, all observed violations of security laws and regulations to the proper regulatory authorities. ✓

C) inform their employer, clients, and potential clients of benefits received for recommending products or services. ✗

Explanation

Members are not required to report violations of others to regulatory authorities, either verbally or in writing, but such reporting may be prudent.

(Module 20.1, LOS 20.a)

Question #36 of 200

Question ID: 1675464

Randy Wesson is a research analyst for a large brokerage company following the chemical industry. Wesson receives a phone call from his nephew, who works part time in an airport hospitality center for an airline while going to business school. Many meetings take place at the center on any given day. The nephew tells Wesson that, while bringing some faxes into a conference room, he overheard executives of Hunt Chemical talking about the likely divestiture of one of their subsidiaries. His nephew wants to know whether that will be good for Hunt. Wesson should:

A) write a research report describing that he learned about the likely divestiture from his nephew, who works at the hospitality center. ✗

B) write a research report describing the possibility of a divestiture, but not mention how he learned about it. ✗

C) not use the information. ✓

Explanation

The information is material and nonpublic; therefore, Wesson cannot trade or cause others to trade on the information. Any action concerning the information would violate the Standard on material nonpublic information.

(Module 20.1, LOS 20.a)

Question #37 of 200

Question ID: 1675577

Scott LaRue is a portfolio manager for Washington Advisors. Washington has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Washington model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as buys by the model. LaRue feels the model would be improved by adding some factors, but he has not fully tested this new version of the model. LaRue discloses his model to his own clients, but not to his supervisor. LaRue is:

A) not violating the Standards.

B) violating the Standards by not having a reasonable and adequate basis for his investment recommendation.

C) violating the Standards by not considering the appropriateness of the recommendations to clients.

Explanation

The ad hoc model is not part of the formal research process and does not formulate an adequate basis for a recommendation.

(Module 20.1, LOS 20.a)

Question #38 of 200

Question ID: 1675566

Jim Crockett is a portfolio manager for Miami Advisors and reports to Vicki Tubbs, the chief investment officer. Miami has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Miami model. The model is purely quantitative and takes a given set of client characteristics and universe of potential securities and forms a portfolio for the investor. Individual portfolio managers are responsible for selecting securities to fit into the model based on recommendations from the firm's research department and the managers' own judgment. Because of the specific nature of the inputs to the model, each manager is responsible for applying the model on his or her own computer. The basic philosophy of the process is thoroughly explained to clients. Crockett does not understand the basics of the model, but feels that because it provides pure quantitative output, he does not need to understand it. However, he misapplies the model for several of his clients. In reviewing some of Crockett's portfolios, Tubbs finds the errors and points them out to Crockett. Which of the following statements regarding Tubbs and Crockett is correct?

A) Crockett has violated the Standards by not exercising diligence and thoroughness in making investment recommendations. ✓

B) Crockett has violated the Standards by not considering the appropriateness and suitability of the investment for his clients. ✗

C) Tubbs has violated the Standards by failing to supervise adequately. ✗

Explanation

Crockett had a responsibility to know the model well enough to detect the mistakes that could occur from misapplication, so he violated the Standard of diligence and reasonable basis.

(Module 20.1, LOS 20.a)

Question #39 - 42 of 200

Question ID: 1675550

Which of the following statements about Linstrom and Wadel's conduct regarding their research reports is *most accurate*?

A) Both Linstrom and Wadel violated Standard VI(A): Disclosure of Conflicts. ✗

B) Wadel violated Standard VI(A): Disclosure of Conflicts, and Linstrom did not violate Standard VI(A). ✓

C) Wadel did not violate Standard VI(A): Disclosure of Conflicts, and Linstrom did violate Standard VI(A). ✗

Explanation

Wadel violated Standard VI(A) by not disclosing his wife's holdings. Linstrom is not in violation of the Standard, as a friend's ownership of the shares should not be expected to impair her ability to make objective decisions.

(Module 20.1, LOS 20.a)

Question #40 - 42 of 200

Question ID: 1675551

What is the obligation, if any, to disclose Wadel's arrangement with Black?

A) Wadel need not disclose anything to his clients or to Platt because he is violating no fiduciary duty. ✗

B) Wadel must disclose the arrangement to Platt, but he is not required to disclose the arrangement to his other clients. ✓

C) Wadel must disclose the arrangements to his clients and to Platt only if he believes it will create a conflict with his responsibilities to other clients. ✗

Explanation

Wadel is required to disclose the arrangement between him and Black under Standard IV(B): Additional Compensation Arrangements, regardless of whether the compensation is cash or noncash. Under Standard I(B): Independence and Objectivity, members may accept bonuses or gifts from clients, so long as they disclose them to their employers, because gifts in a client relationship are deemed less likely to affect a member's objectivity and independence than gifts in other situations. Token gifts need not be disclosed.

(Module 20.1, LOS 20.a)

Question #41 - 42 of 200

Question ID: 1675552

Knudsen violated:

A) Standard IV(B): Additional Compensation with relation to the Jensen deal, but he did not violate the Standard with relation to the Morgensen deal. ✓

B) no Standards with regard to both the Jensen and Morgensen deals. ✗

C) Standard IV(B): Additional Compensation with relation to the Morgensen deal. ✗

Explanation

Notifying Platt about the Jensen deal is not enough. He needs permission in writing from both parties before accepting the work. Therefore, Knudsen violated Standard IV(B) with relation to the Jensen matter. However, it does not appear that the work performed for Morgensen is in competition with Platt's employer, so that aspect is not in violation of Standard IV(B).

(Module 20.1, LOS 20.a)

Question #42 - 42 of 200

Question ID: 1675553

The handling of the Miller account:

A) did not violate the Code and Standards because the appropriate disclosures were made. ✗

B) violated Standard IV(B): Additional Compensation Arrangements, Standard III(B): Fair Dealing, and Standard IV(C): Responsibilities of Supervisors. ✗

C) violated Standard III(B): Fair Dealing, but not Standard IV(B): Additional Compensation Arrangements. ✓

Explanation

Linstrom did not violate Standard IV(B) because she disclosed Miller's offer to Platt. However, her allocation of the best (cheapest) lot of bonds to Miller's account violated Standard III(B).

(Module 20.1, LOS 20.a)

Question #43 of 200

Question ID: 1675424

Jane Silverman, CFA, is a popular investment analyst who performs research and then issues buy, sell, and hold recommendations on U.S. equities as part of her employment at an investment firm. Much of her popularity is due to her active blog and X (Twitter) posts. She makes a point of maintaining records for all of her work (including emails and text messages), even though her employer does not have any policies in that regard, and there are no local regulatory guidelines provided either. Last week, a competing firm offered Silverman a similar job, and she is seriously considering the offer. Which of the following statements regarding record retention in relation to Silverman's employment activities is correct?

A) The CFA Institute requires that Silverman maintain supporting records for at least seven years. ✗

B) The CFA Institute requires that Silverman maintain supporting records of the emails and text messages, but not the blog posts or X (Twitter) posts. ✗

C) The CFA Institute requires that Silverman contact the covered company to re-create supporting records if she goes to work for a new employer. ✓

Explanation

For future use, Silverman must re-create the supporting records at the new firm with information gathered through public sources or directly from the covered company. She may not rely on memory or sources obtained at the previous employer.

In the absence of regulatory guidance or firm policies, CFA Institute *recommends* (but does not require) maintaining records for at least seven years.

Nonprint media formats including emails, text messages, blog posts, and X (Twitter) posts must all be retained as part of the supporting documentation.

(Module 20.1, LOS 20.a)

Question #44 - 49 of 200

Question ID: 1675506

Which of the following Standards is *most* relevant regarding Pennington's meeting with Elise?

A) Standard III(A): Loyalty, Prudence, and Care. ✗

B) Standard III(C): Suitability. ✓

C) Standard III(E): Preservation of Confidentiality. ✗

Explanation

Standard III(C): Suitability, is *most relevant* for Pennington's meeting with Elise. This Standard requires Pennington to make a reasonable inquiry into Elise's financial situation, investment experience, and investment objectives before making any recommendations about her portfolio. Pennington must also consider the appropriateness of the existing portfolio and investment policy statement for Elise. Standard III(A) also has some relevance because Pennington is in a position of trust with respect to Elise, and Pennington must ensure that his and AIA's goals do not conflict with Elise's.

(Module 20.1, LOS 20.a)

Question #45 - 49 of 200

Question ID: 1675507

Standard VI(A), Disclosures of Conflicts, requires Pennington to disclose all matters, including beneficial ownership of securities of other investments, that could be expected to impair the member's ability to make unbiased and objective recommendations. Which of the following matters would *least likely* be disclosed to Elise?

A) Pennington played golf with Helmut Flanders on a regular basis and developed client relationships from those golf outings. ✓

B) Pennington owns shares in Allux. ✗

C) AIA has a soft dollar arrangement with a brokerage firm owned by Pennington's sister. ✗

Explanation

Pennington playing golf with Elise's husband, Helmut Flanders, is not a conflict with respect to his relationship with Elise, and he does not need to disclose to her that he played golf with Flanders. Flanders was his client at the time, and there was full disclosure that Pennington developed new client relationships. Al the other matters must be disclosed.

(Module 20.1, LOS 20.a)

Question #46 - 49 of 200

Question ID: 1675508

Which of the following *best* describes Pennington's compliance with the CFA Institute Standards regarding his use of soft dollars?

A) The purchase of both research reports and carpeting are allowable uses of soft dollars. ✗

B) The purchase of research reports is an allowable use of soft dollars. ✓

C) The purchase of research reports and attending the conference are allowable uses of soft dollars. ✗

Explanation

Brokerage is commission generated from trades and is an asset of the client, not the investment manager. Soft dollars is the use of brokerage to purchase research services that benefit the client in the investment decision-making process. The investment manager has an ongoing responsibility to seek to obtain best execution, minimize transaction costs, and use client brokerage to benefit clients. Consequently, contingent on disclosure of a soft dollar arrangement to clients whose portfolios might be affected, the CFA Institute Standards permit client brokerage only to be used to purchase research—that is, goods and services, the primary use of which directly assists the investment manager in the investment decision-making process and not in the management of the firm.

(Module 20.1, LOS 20.a)

Question #47 - 49 of 200

Question ID: 1675509

Pennington would like to continue to direct trades from Elise's portfolio to his sister's brokerage firm. To continue with this arrangement and comply with the CFA Institute Standards, which of the following disclosures are required?

A) Pennington must disclose that directed brokerage arrangements that require the investment manager to commit a certain percentage of brokerage might affect his ability to seek to obtain best execution. ✗

B) Pennington must disclose policies with respect to all soft dollar arrangements and receive written consent from Elise that she understands the consequences if he is not seeking best price and execution through First Brokerage. ✓

C) Pennington must clearly disclose that his duty as the investment manager is to continue to seek to obtain best execution. ✗

Explanation

Investment managers are required to disclose policies with respect to soft dollar arrangements. Standard III(A): Loyalty, Prudence, and Care requires Pennington to seek best price and execution with his trades, and if he directs trades through a broker in which he may not receive best price and execution, he must get a written statement from his clients that they are aware that he is not seeking best price and execution and the consequences for their accounts.

(Module 20.1, LOS 20.a)

Question #48 - 49 of 200

Question ID: 1675510

After determining Elise's risk and return objectives, liquidity needs, tax considerations, and unique circumstances, Pennington has decided that he must reduce Elise's holding of Allux shares. He has several other clients, whom he met through Flanders, who also have significant holdings in Allux. Pennington has also decided to reduce his own holdings in Allux because his term as a director of Allux will be up in June. He does not plan to seek reappointment, but as a member of the audit committee, he is privy to information about a tender offer. Pennington realizes this is a complex situation.

Of the following Standards, **determine** which would *least likely* help Pennington decide what actions with respect to selling shares of Allux would be in compliance with the CFA Institute Standards of Practice.

A) Standard III(C): Suitability. ✓

B) Standard III(B): Fair Dealing. ✗

C) Standard VI(A): Disclosure of Conflicts. ✗

Explanation

Standard III(C): Suitability is least likely to provide Pennington with guidance when he considers selling Elise's holdings of Allux. This Standard describes members' responsibilities in developing appropriate recommendations and taking suitable actions. To reach the point where he has decided to sell Elise's shares, Pennington would already have met these requirements. He has determined Elise's and his other clients' requirements and has recommended an appropriate and suitable investment action. His concern is how to implement his recommendation and be in compliance with the Standards of Professional Conduct.

Pennington has several problems with respect to selling shares of Allux from Elise's portfolio and the portfolios of his other clients. First, he must comply with Standard III(B) and deal fairly and objectively with all clients and prospects when taking this investment action. Pennington must disclose his ownership of Allux to all affected clients according to Standard VI(A) and ensure that transactions for clients take precedence over transactions on his own behalf, according to Standard VI(B).

(Module 20.1, LOS 20.a)

Question #49 - 49 of 200

Question ID: 1675511

Because Pennington is a director of Allux and a member of the audit committee, what additional Standard is specifically applicable to Pennington's decision to sell his and his clients' shares of Allux?

A) Standard IV: Duties to Employers. ✗

B) Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate. ✗

C) Standard II: Integrity of Capital Markets. ✓

Explanation

As a director and member of Allux's audit committee, Pennington possesses material, nonpublic information about a tender offer. Therefore, Pennington must be particularly concerned about complying with Standard II(A): Material Nonpublic Information.

(Module 20.1, LOS 20.a)

Question #50 of 200

Question ID: 1675376

Josh LeBlanc, a CFA charterholder, is an investment analyst for a small stock brokerage firm. He wants to acquire and maintain knowledge about applicable laws, rules, and regulations relating to his professional activities. According to the CFA Institute Standards of Professional Conduct, which of the following ways is *least likely* to meet compliance procedures?

A) Keep informed about changes in applicable laws, rules, and regulations. ✗

B) Rely on past practices followed within his firm. ✓

C) Review written compliance procedures on a regular basis. ✗

Explanation

LeBlanc should follow the compliance procedures under Standard I(A): Knowledge of the Law. Relying on his firm's past practices may be insufficient for LeBlanc to stay current with changes in applicable laws, rules, and regulations.

(Module 20.1, LOS 20: I(A))

Question #51 of 200

Question ID: 1675548

Chuck Daniels has just been hired to manage a security analysis group for Aaron Asset Management. Daniels performed a similar function at another firm and finds the compliance system at Aaron inadequate. He develops a system that he feels is appropriate, but senior management tells him he will have to wait six months to implement the system. Daniels should:

A) protest in writing the delay, listing the potential dangers that can occur.

B) decline in writing to accept supervisory responsibility until a satisfactory compliance system is put into place.

C) resign his position immediately.

Explanation

According to the Standard on supervisory responsibilities, Daniels should decline in writing to accept supervisory responsibility until a satisfactory compliance system is put into place.

(Module 20.1, LOS 20.a)

Question #52 of 200

Question ID: 1675482

Jack Stevens is employed by a company to provide investment advice to participants in the firm's 401(k) plan. One of the investment options is a stable value fund run by the company. Stevens's research indicates that the fund is far riskier and less liquid than the typical stable value fund and has a fundamental asset value lower than book value of the assets. He tells Jessica Cox, the head of employee benefits, about his research, and he indicates that he will advise new employees to not invest in the fund and will advise employees who already own the fund to reduce their holdings in the fund. Cox points out that the fund is not in any current danger because there are very few redemptions requested of the fund. Cox also states that a sell recommendation may become a self-fulfilling prophecy, causing investors to redeem their shares and forcing the fund to liquidate, which in turn will cause the remaining investors to receive less than their promised value. Stevens agrees with this assessment and feels his fiduciary duty is to all employees. Stevens should:

A) tell investors he cannot give advice on the fund because of a conflict of interest.

B) continue to recommend that new investors do not invest in the fund and that existing investors reduce their holdings.

C) continue to recommend that new investors do not invest in the fund, but not advise existing investors to reduce their holdings.

Explanation

The employees to whom Stevens owes fiduciary duty are the ones who are seeking his advice, even if acting on that advice hurts other employees who might eventually become clients.

(Module 20.1, LOS 20.a)

Question #53 - 58 of 200

Question ID: 1675466

Which of the following is a violation of the Code and Standards?

A) Taylor sends out a resume referring to himself as a Level II CFA candidate and indicating his intention to take the Level II test in June. ✗

B) James has dinner with Taylor and promises to provide Taylor with three weeks off in May to study for the CFA exam and offer some test-taking tips. ✗

C) Reynolds approves Montpier's report on Circuit Secrets immediately, but tells his traders to wait a week before buying the stock themselves. ✓

Explanation

An immediate approval of Montpier's report implies that Reynolds did not check the facts or talk to Montpier about the recommendation, which was dependent on the use of insider information. Reynolds violated the Standard relating to supervisory responsibilities. Side work that is not in competition with the intern's firm is not a violation unless the side job interferes with her work for World Class. The statement on Taylor's resume is appropriate, and James's plans to help Taylor are well within the requirements of the Standards.

(Module 20.1, LOS 20.a)

Question #54 - 58 of 200

Question ID: 1675467

Which of the following statements about Montpier's analysis of Circuit Secrets is correct?

A) Montpier's best course of action is to initiate coverage of Circuit Secrets as a "hold" and attempt to get the company to disclose the nonpublic information. ✗

B) Montpier could satisfy the requirements of Standard II(A): Material Nonpublic Information by producing a research report on Circuit Secrets for Malaysian clients, but not making it available to U.S. clients. ✗

C) If Montpier prepares a research report for all World Class clients recommending Circuit Secrets as a buy, but does not reveal the nonpublic information, she has still violated Standard II(A): Material Nonpublic Information. ✓

Explanation

Standard II(A) prohibits not only the revelation of nonpublic information, but also trading on the basis of that information. The buy rating itself is a product of the nonpublic information, and as such, is a violation. Montpier must comply with the Code and Standards regardless of the laxness of regulations in her country. If Montpier believes the stock is a buy, initiating it as a hold would be inappropriate. Analysts cannot be expected to have a recommendation on every stock, so failing to recommend a potentially good stock is not a breach of fiduciary duty.

(Module 20.1, LOS 20.a)

Question #55 - 58 of 200

Question ID: 1675468

With regard to Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program:

A) Montpier is in compliance, and Taylor is in compliance. ✗

B) neither Montpier nor Taylor is in compliance. ✗

C) Montpier is not in compliance, and Taylor is in compliance. ✓

Explanation

Both Montpier, as a CFA charterholder, and Taylor, as a CFA candidate, are subject to the Standards. Montpier violated Standard VII(B) by exaggerating the implications of passing the exam in three years. Taylor's comments comply with the standard.

(Module 20.1, LOS 20.a)

Question #56 - 58 of 200

Question ID: 1675469

Which of the following actions could Taylor take to ensure he is not in violation of Standard I(C): Misrepresentation?

A) Base his report on information from Value Line and Standard & Poor's reports rather than research from rival analysts. ✓

B) Initiate coverage of Immune Health Care and Remedy Corp. as holds, not strong buys, until he has time to do further research. ✗

C) Just use excerpts from the original reports, rather than copying the whole reports. ✗

Explanation

Value Line and Standard & Poor's are "recognized financial or statistical reporting services," and, as such, can be used as the basis for reports without acknowledgment. The caveat is that those publications are copyrighted, and copying directly from them may be illegal in some circumstances—even if it does not technically violate the plagiarism Standard. Using excerpts is still plagiarism, and changing the stock recommendation will not change that fact. It is unlikely that a Dutch research report would not be protected under U.S. copyright, and even if it were not, using the material without attribution still violates the Standard.

(Module 20.1, LOS 20.a)

Question #57 - 58 of 200

Question ID: 1675470

Which of the following statements regarding Standard IV(A): Loyalty to Employer is correct?

A) Neither Taylor nor Montpier is in violation of the Standard. ✗

B) By accepting compensation for his role in the medical study, Taylor is violating the Standard. ✗

C) Despite getting written permission from her client to consult, Montpier is not in compliance with the Standard. ✓

Explanation

Montpier needs to get permission from both the client and her employer before she can begin to consult. Thus, Montpier is not in compliance, as she has not received permission from World Class. Neither Taylor's use of rivals' research nor his participation in a medical study violate the Standard. Standard IV(A) addresses outside income, not research methods. And while the medical study payment is certainly income, it is not in competition with his firm—and as such, does not violate the Standard.

(Module 20.1, LOS 20.a)

Question #58 - 58 of 200

Question ID: 1675471

Taylor's actions regarding Breakthrough Corp.:

A) violate Standard II(A): Material Nonpublic Information because the information was not in the public domain. ✓

B) did not violate Standard I(D): Misconduct because he did not misappropriate the information. ✗

C) do not violate Standard II(A): Material Nonpublic Information because he was only confirming what he already suspected. ✗

Explanation

Taylor's use of the material nonpublic information provided to him in confidence by a researcher is a clear violation of Standard II(A). The professional misconduct Standard prohibits actions that reflect negatively on "professional reputation, integrity, or competence." Because Taylor has signed a confidentiality agreement, his violation of the agreement definitely says something about his honesty. Thus, he is in violation of Standard I(D). Standard IV(A) only applies to work in competition with the employer.

(Module 20.1, LOS 20.a)

Question #59 of 200

Question ID: 1675489

A company has a defined benefit plan that is currently underfunded. The plan sponsor has instructed the portfolio manager of the plan to invest more aggressively to bring the funding level up to an adequate amount. Which of the following statements *best* describes the course of action the portfolio manager should take? The portfolio manager should:

A) not invest more aggressively because this may expose the plan to too much risk and may not be in the best interest of the plan's beneficiaries. ✓

B) not invest more aggressively because this is not the method used to increase the funding level of a plan. ✗

C) invest more aggressively because his fiduciary duties lie with the plan sponsor. ✗

Explanation

Standard III(A): Loyalty, Prudence, and Care, applies in this situation. According to this Standard, investment actions should be carried out for the sole benefit of the client and in a manner the manager believes to be in the best interest of the client. Here, the client is the plan beneficiaries, not the manager or the entity that hired the manager.

(Module 20.1, LOS 20.a)

Question #60 of 200

Question ID: 1675426

Jim Johnson is a compliance officer at Rialto, Inc. (Rialto), a full-service investment management firm based in New York. The firm has equity analysts who produce research reports as well portfolio managers who are in constant contact with clients and occasionally receive gifts from clients. The equity analysts are able to perform their due diligence using external sources of information, such as public disclosure documents, as well as internal sources of information, such as those provided by company management. To ensure Rialto's employees are complying with the standard on independence and objectivity, what must Johnson do?

A) Require equity analysts to gather information from both external and internal sources. ✓

B) Require a strict value limit to be established for acceptable gifts from clients. ✗

C) Require analysts to be compensated for writing issuer-paid research reports on a fixed-fee basis. ✗

Explanation

Due diligence in financial research and analysis involves gathering information from a wide variety of sources. If both internal and external sources of information are available (as is stated in the case facts), then both sources should be used. For example, if only internal sources of information, such as those provided by company management, are used (and external sources are not used to corroborate), then the analyst may not be exercising sufficient objectivity in performing due diligence.

For issuer-paid research reports, a *recommendation* (but not a requirement) is to design a compensation system that protects the integrity of the investment decision process by paying a fixed fee to promote an unbiased opinion from the analyst.

A strict value limit for gifts from clients is a *recommendation* (but not a requirement) under the standard on independence and objectivity.

(Module 20.1, LOS 20.b)

Question #61 - 66 of 200

Question ID: 1675444

Based on CFA Institute Standards of Professional Conduct, which of the following is *least accurate*?

A) The information is material because the new software is likely to significantly increase FinSoft's future earnings. ✗

B) There is misappropriation of information by Jones because the file is marked "CONFIDENTIAL/CORPORATE FINANCE DEPARTMENT." ✗

C) There is no breach of duty if traded on Smith's report because Jones did not conduct the research that produced the information. ✓

Explanation

Jones has a duty not to trade or cause others to trade on material nonpublic information. It does not matter that he did not conduct the research.

(Module 20.1, LOS 20.a)

Question #62 - 66 of 200

Question ID: 1675445

Based on the information presented in this situation, Jones has an obligation to do all of the following except:

A) wait to trade on the information until after a reasonable period has passed. ✓

B) encourage public dissemination of the information. ✗

C) encourage his employer to review the compliance procedures as they relate to material nonpublic information issues. ✗

Explanation

Jones has an obligation to not trade on the information until after he is sure the information has been made public.

(Module 20.1, LOS 20.a)

Question #63 - 66 of 200

Question ID: 1675446

Based on the information presented, Lincoln should adopt a set of guidelines on inside information that include each of the following except:

A) develop criteria for identifying inside information. ✗

B) prohibit exchange of personnel, even temporary, between investment banking and institutional money management departments. ✓

C) have in place a supervisor or compliance officer who has the authority and responsibility to decide whether information is material and nonpublic. ✗

Explanation

There is no need to avoid the transfer of personnel as long as proper safeguards and procedures are observed.

(Module 20.1, LOS 20.a)

Question #64 - 66 of 200

Question ID: 1675447

Which of the following policies would be the *most appropriate* way for Lincoln & Co. to conform to the CFA Institute Standard II(A) concerning material nonpublic information?

A) Require that the compliance department implement increased scrutiny of the interchange of information between the research department and the investment banking division. ✗

B) Permanently prohibit the research department from issuing recommendations on FinSoft. ✗

C) Prevent the exchange of information between the investment banking and research department by creating information barriers between these groups. ✓

Explanation

Creating informational firewalls in a firm to prevent the exchange of insider information is the best method of complying with Standard II(A) concerning material nonpublic information. An information barrier between the investment banking department and research department will prevent the flow of information from the investment banking department to research analysts who are writing recommendations on securities. A permanent prohibition on issuing recommendations on FinSoft securities would not be appropriate or necessary. A temporary prohibition would be an acceptable option: after the material nonpublic information becomes public, publishing recommendations on FinSoft would not be a violation of the Code and Standards. Increased scrutiny of the exchange of information flowing between the investment banking department and the research operation would be inadequate.

(Module 20.1, LOS 20.a)

Question #65 - 66 of 200

Question ID: 1675448

At a local CFA society event, Jones mentions to Mohammed Bamyeh, a friend and financial advisor, that FinSoft is about to receive a major new contract that has yet to be announced. Later that day, Bamyeh takes a large long position in a technology ETF that has a large weight for FinSoft stock. Which of the following statements is *most accurate*?

A) Bamyeh violated the Code and Standards by investing in the ETF. ✓

B) Bamyeh did not violate the Code and Standards because Bamyeh did not directly invest in any FinSoft securities.

C) Jones did not violate the Code and Standards because the comments made to Bamyeh were on a personal rather than professional basis.

Explanation

Bamyeh's decision to invest in the ETF appears to have stemmed from Jones's tip about FinSoft's prospects, so Bamyeh's action violates Standard II(A): Material Nonpublic Information. Jones's inside information should be considered material because if made public, it would cause the price of FinSoft, as well as the associated mutual fund, to rise. Jones's decision to share material nonpublic information was a violation of Standard II(A), even though Jones and Bamyeh are personal rather than professional acquaintances. Under Standard II(A), prohibition to trade based on inside information extends to derivatives that derive their value based on the value of the security for which inside information was used.

(Module 20.1, LOS 20.a)

Question #66 - 66 of 200

Question ID: 1675449

When recommending the purchase of FinSoft company shares to Bamyeh, Jones *least likely* violated the Standard relating to:

A) loyalty to employer.

B) integrity of capital markets.

C) diligence and reasonable basis.

Explanation

It is unlikely that Jones violated the Standard relating to diligence and reasonable basis, as Jones appears to have had a reasonable basis for the recommendation as Standard V(A) requires. Once Jones was in possession of material nonpublic information, he was prohibited by Standard II(A) of acting or causing others to act on this information. Jones also violated his duty of loyalty to his employer under Standard IV(A) by encouraging Bamyeh to trade in FinSoft and other securities, possibly harming Lincoln's customer's ability to acquire FinSoft at an attractive price.

(Module 20.1, LOS 20.a)

Question #67 of 200

Question ID: 1675405

The Securities and Exchange Board of India (SEBI) has just enacted a new stock trading rule. SEBI will give brokers a 10-day grace period, during which violators of the rule will be immediately notified and given a chance to remedy their situation to comply with the new rule. If a CFA Institute member located in India or doing business in India unknowingly violates the rule and then remedies the situation within the 10-day grace period, has the member violated Standard I(A)?

A) No, because the member remedied the situation. ✗

B) Yes, because the member did not maintain knowledge and know of the rule. ✓

C) No, because the member unknowingly broke the rule. ✗

Explanation

Standard I(A) explicitly says that a member must maintain knowledge and comply with laws, rules, and regulations. By not knowing of the rule, the member broke the standard.

(Module 20.1, LOS 20: I(A))

Question #68 of 200

Question ID: 1675535

Patricia Young is an individual investment advisor who uses a computer model to place each of her clients into an appropriate portfolio. The model analyzes a range of simulated portfolios and computes for each the probabilities of achieving various levels of return. Young then selects the portfolio that provides the highest probability of achieving the clients' minimum required return. By using this process, Young is:

A) violating Standard I(C): Misrepresentation. ✗

B) not violating the Standards. ✗

C) violating Standard III(C): Suitability. ✓

Explanation

Standard III(C): Suitability requires that Young select investments that are consistent with clients' risk and return objectives. However, risk tolerance is not adequately addressed by Young's process.

(Module 20.1, LOS 20.a)

Question #69 of 200

Question ID: 1675484

Which of the following statements about a member's use of client brokerage commissions is not correct? Client brokerage commissions:

A) may be directed to pay for the investment manager's operating expenses. ✓

B) should be commensurate with the value of the brokerage and research services received. ✗

C) should be used by the member to ensure that fairness to the client is maintained. ✗

Explanation

Brokerage commissions are the property of the client and may only be used for the client's benefit.

(Module 20.1, LOS 20.a)

Question #70 of 200

Question ID: 1675377

Don Roberts, a CFA Institute member, resides in Country L, where the securities laws and regulations are less strict than the CFA Institute Code and Standards. Roberts also does business in Country N, which has no securities laws or regulations. Thus, Country N has no laws prohibiting the use of material nonpublic information. Roberts has clients in both Country L and N. Country L's law states that the law of the locality where business is conducted governs. According to CFA Institute Standards of Professional Conduct about the use of material nonpublic information, Roberts may:

A) take investment action based on this information only for his clients in Country N, but not for his clients in Country L or himself. ✗

B) take investment action based on this information for clients in both Country N and Country L, and for himself. ✗

C) not take investment action on the basis of this information. ✓

Explanation

Because applicable law states that the law of the locality where the business is conducted governs and local law is less strict than the Code and Standards, the member must adhere to the Code and Standards. Standard II(A) prohibits the use of material nonpublic information.

(Module 20.1, LOS 20: I(A))

Question #71 of 200

Question ID: 1675563

Kim Lee is a research analyst at Superior Investments and is researching a biotech firm specializing in the analysis of mad cow disease. While touring company facilities and meeting with management, she learns that they believe they may have found a way to reverse the disease. Moreover, one manager conjectured, "Suppose that we reversed the disease in someone who didn't even have it? We might then be able to boost that individual's IQ into the stratosphere!" After returning to her office, Lee issues a research report describing the compound as an "IQ booster with huge potential." This statement:

A) is allowable, but only if quoted verbatim from her conversations with management. ✗

B) lacks a reasonable and adequate basis in fact. ✓

C) is reasonable, given the information she was provided by the company. ✗

Explanation

Standard V(A) requires that a member have a "reasonable and adequate basis" before making an investment recommendation. Extrapolating on the basis of the conjecture of one member of the management team, without independent corroboration, is clearly in violation of this Standard. She is also in violation of Standard V(B) concerning the use of reasonable judgment regarding what is included or excluded in a communication with a client or prospective client.

(Module 20.1, LOS 20.a)

Question #72 - 77 of 200

Question ID: 1675541

Which of the following statements would not be in violation of the Code and Standards?

A) Tonis is a member of CFA Institute and would become a CFA upon completion of the Level III exam. ✗

B) Tonis is a member of CFA Institute, has passed her Level I exam of the CFA program, and plans to take her Level II exam next year. ✓

C) Tonis is a CFA Level II candidate. ✗

Explanation

According to Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program, a member can reference her CFA Institute membership only in a dignified and judicious manner. Candidates who have passed one or more levels of the exam may state so, but they may not imply that they have achieved superior results. To state that a member is a candidate, the member must be registered for the next scheduled exam. The CFA marks may not be used as a noun. To use the CFA marks, besides passing the three exams, a candidate must also complete the required work experience.

(Module 20.1, LOS 20.a)

Question #73 - 77 of 200

Question ID: 1675542

To keep her CFA Institute membership status, Tonis must:

A) avoid two or more public censures within any 12 consecutive months. ✗

B) file a professional conduct statement every year. ✓

C) enroll in the next scheduled CFA exam. ✗

Explanation

Summary suspension may be imposed on a covered person for failure to complete, sign, and return a professional conduct statement for one year. If a candidate is not enrolled in the next scheduled CFA exam, he may not say that he is a CFA candidate, but enrollment in the next exam is not required to keep CFA Institute membership and avoid summary suspension. Two or more public censures within any 12 consecutive months would not lead to a summary suspension.

(Module 20.1, LOS 20.a)

Question #74 - 77 of 200

Question ID: 1675543

With respect to the honorary membership in the alumni association, the complimentary tickets, and the accommodations for the sporting event, Tonis needs to inform her employer in writing of the:

A) tickets and accommodations, but not the membership. ✗

B) tickets, but not the membership or accommodations. ✗

C) membership, tickets, and accommodations. ✓

Explanation

According to Standard IV(B): Additional Compensation Arrangements, members must disclose in writing all monetary compensation or other benefits that they receive for their services that are in addition to the compensation or benefits conferred by the employer.

(Module 20.1, LOS 20.a)

Question #75 - 77 of 200

Question ID: 1675544

With respect to the information that Tonis overhears at the sporting event, she:

A) may not act on the information. ✓

B) may not act on the information and must try to achieve public dissemination of the information. ✗

C) may trade on the information using the mutual funds she has been already been using only. ✗

Explanation

According to Standard II(A), members and candidates cannot trade or cause others to trade on material, nonpublic information. Although recommended, she is not required to make reasonable efforts for public dissemination of the data.

(Module 20.1, LOS 20.a)

Question #76 - 77 of 200

Question ID: 1675545

With respect to planning her own business while still at Target, which of the following statements is *most accurate*?

A) Tonis may copy and later use her model because Target is not using it. ✗

B) Tonis may not begin planning a new business until she resigns from Target. ✗

C) Tonis may not copy and take home the model because it is property of her employer. ✓

Explanation

Under Standard IV(A): Loyalty to Employer, Tonis has a duty to act in her employer's best interest until her resignation becomes effective. She is not allowed to copy or take any of her employer's property. Even though she developed the model, she did it on her employer's time, and the model is her employer's property. It is irrelevant whether her employer is using or plans to use the model. The standards do not prohibit Tonis from planning her own business while still with her current employer, but she must do that on her own time.

(Module 20.1, LOS 20.a)

Question #77 - 77 of 200

Question ID: 1675546

Soliciting rejected prospects from Target is:

A) not a violation of CFA Institute Standards because rejected prospects do not represent a competition with Target. ✓

B) a violation of CFA Institute Standards under any circumstances. ✗

C) not a violation of CFA Institute Standards because she plans to use a model rejected by Target's management. ✗

Explanation

Tonis may solicit rejected prospects while she is still at Target because they do not represent a competition with her current employer. However, she has a duty of loyalty to her employer, and she must work on her new business on her own time.

(Module 20.1, LOS 20.a)

Question #78 of 200

Question ID: 1675419

Tony Calaveccio, CFA, is the manager of the TrustCo small-cap venture fund in Toronto. He places trades for the fund with River City Brokerage. River City presents Calaveccio with a bottle of inexpensive wine at Christmas each year. Calaveccio does not disclose this fact in the prospectus of the small-cap venture fund. This action is:

A) in violation of the Standard concerning disclosure of conflicts to clients and prospects. ✗

B) not in violation of the Code and Standards. ✓

C) in violation of the Standard concerning disclosure of additional compensation arrangements. ✗

Explanation

Under Standard I(B): Independence and Objectivity, members are advised to "use reasonable care" to maintain independence. While it is clearly understood that gifts from various entities have the potential to affect a member's independence and objectivity, a member can accept token gifts as long as they are not intended to influence or reward.

(Module 20.1, LOS 20: I(B))

Question #79 of 200

Question ID: 1675477

Susan Nielsen, CFA, works for a rating agency that competes directly with S&P and Moody's. Her friend, Lance Parker, works for the same company, but in a different department that is involved in advisory services for structured products. Nielsen frequently receives pressure from Parker to "put a positive face" on client ratings to help him sell advisory services. She is reluctant to discuss client ratings with Parker and tries to avoid the topic. She consults her company's compliance department and learns that there are no policies or procedures to discourage Nielsen and Parker from sharing information and is encouraged to consider his advice on company ratings. Nielsen should *most likely*:

A) advise regulators of the potential conflict of interest and seek legal counsel. ✗

B) advise her firm to develop firewalls and protections to allow the different departments to function independently and avoid talking with Parker about client ratings. ✓

C) continue to consult with Parker on company ratings, as the compliance department's position is that there is no conflict. ✗

Explanation

Nielsen should advise her firm to develop firewalls and protections to allow the different departments to function independently. If Nielsen and Parker are going to remain friends, they should stop talking about client ratings.

(Module 20.1, LOS 20.a)

Question #80 of 200

Question ID: 1675537

While having a conversation with a prospective client, John Henry states that his performance across all of his past clients over the past five years was over 20%, which was 200 basis points higher than his benchmark. He tells the client that while the benchmark may rise or fall over time, his excess performance will remain consistent. Henry violated the Standards of Professional Conduct because:

A) the statement of excess performance is misleading with respect to its certainty.

B) he cannot discuss performance without clearly stating that the composite does not conform to GIPS.

C) he cannot discuss prospective future performance in any manner.

Explanation

Guaranteeing performance on investments that are inherently volatile is misleading to clients.

(Module 20.1, LOS 20.a)

Question #81 - 86 of 200

Question ID: 1675520

Did Hogue violate any CFA Institute Standards of Professional Conduct by meeting with Brazilian economic and governmental officials or by photocopying the economic report?

A) Yes, regarding either the meeting or the photocopying, but not both.

B) No, regarding both the meeting and the photocopying.

C) Yes, regarding both the meeting and the photocopying.

Explanation

In meeting with the officials, Hogue is performing proper due diligence on the Brazilian market to support his recommendations to clients. This is entirely appropriate. There is no indication that he is being inappropriately influenced by the policymakers, and the meeting is not a violation of the Standards. By photocopying the report, however, Hogue has violated Standard I(D) Misconduct. Under the Standard, he is not to commit any professional act involving dishonesty or deceit or conduct himself in a way that reflects poorly on his professional reputation, integrity, or competence. The report was marked confidential and Hogue was instructed to return it after he had a chance to read it. The intent was not to distribute the report for Hogue's professional benefit. He has, therefore, deceived the officials by photocopying the report without receiving permission.

(Module 20.1, LOS 20.b)

Question #82 - 86 of 200

Question ID: 1675521

During his first meeting with the Brazilian brokers and stock exchange members, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) Yes, because he failed to maintain independence and objectivity by meeting with influential Brazilian market participants. ✗

B) Yes, because he attempted to manipulate the market price of a Brazilian security. ✓

C) No. ✗

Explanation

Hogue clearly exaggerated the American investors' interest in BAI stock in an attempt to get local market participants to buy the stock in anticipation of increased American investment. By pumping the stock, the price rose, and Hogue sold the Brazil Fund position and recommended investors do the same to take advantage of the artificially high prices. Hogue cites poor business prospects in his sell recommendation, a clear indication of his devious intent in claiming the high level of interest from American investors. By manipulating market prices in Brazil, Hogue has violated Standard II(B) Market Manipulation.

(Module 20.1, LOS 20.b)

Question #83 - 86 of 200

Question ID: 1675522

Did the increased trading volume contract that Hogue negotiated between the Brazilian market specialists for the BDB stock violate any CFA Institute Standards of Professional Conduct?

A) Yes, because the contract discriminates against clients who will purchase the stock after the 1-year term is over. ✗

B) No. ✓

C) Yes, because the intent of the contract is to distort the trading volume of BDB in order to attract investors. ✗

Explanation

The contract is fully disclosed to potential investors in the marketing collateral. Thus, investors can evaluate for themselves the true cost of the transactions. Therefore, the intent of the increased liquidity is not to deceive investors, but rather to increase the market liquidity and ease of trading for foreign investors. The contract does not violate Standard II(B) Market Manipulation because it is disclosed. If it were not disclosed, however, it would constitute a violation.

(Module 20.1, LOS 20.b)

Question #84 - 86 of 200

Question ID: 1675523

When he distributed his buy and sell recommendations on BDB and BAI, respectively, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) No. ✗

B) Yes, because he has released the two versions of the report at different times. ✓

C) Yes, because he has issued two versions of the same report, which is a disadvantage to clients paying lower fees. ✗

Explanation

Standard III(B) Fair Dealing requires members and candidates to deal fairly with their clients. Hogue can offer different levels of service so long as it is disclosed to his clients and all service levels are available to all clients. Because his "tier one" clients pay higher fees, the depth of research they receive may be greater than the "tier two" clients without violating the Standard. By releasing the reports at different times, however, the "tier two" clients are put at a great disadvantage simply because they subscribe to a lesser level of service. This is a violation of Standard III(B), which says that members can offer different services to clients, but different levels of service must not disadvantage clients.

(Module 20.1, LOS 20.b)

Question #85 - 86 of 200

Question ID: 1675524

Has Hogue violated any CFA Institute Standards of Professional Conduct with respect to the time period of returns and method of calculating returns used in his performance presentation?

A) Yes, regarding both the time period and calculation method. ✗

B) No, regarding both the time period and calculation method. ✗

C) Yes, regarding either the time period or calculation method, but not both. ✓

Explanation

According to Standard III(D) Performance Presentation, Hogue must disclose the fact that the 10-year performance history of the fund is comprised of five years of his performance and five years of his predecessor's performance. By not disclosing this, the presentation is misleading and violates Standard III(D). It does not matter that the investment styles are similar or that he believes most investors are only interested in the last five years of data. Performance presentations need to be fair, accurate, and complete. His method of calculating returns before fees and taxes on a market-value-weighted basis is acceptable and fully disclosed. Therefore, the calculation methodology does not constitute a violation of Standard III(D).

(Module 20.1, LOS 20.b)

Question #86 - 86 of 200

Question ID: 1675525

By charging "tier one" and "tier two" clients different fees, has Hogue violated any CFA Institute Standards of Professional Conduct?

A) Yes, because the two classes of clients creates an inherent conflict of interest. ✗

B) Yes, because having two classes of clients inappropriately discriminates against the lower fee clients. ✗

C) No. ✓

Explanation

Hogue is allowed to offer different levels of service without violating Standard III(B) Fair Dealing, as long as the different levels of service are fully disclosed and offered to all clients and prospects. Hogue has his "tier two" clients sign a waiver indicating they are aware of the different levels of service offered by the firm. Thus, he has complied with the Standard.

(Module 20.1, LOS 20.b)

Question #87 - 92 of 200

Question ID: 1675492

Which of the following Standards is *most* relevant regarding Smyth's meeting with Durand?

A) Standard III(A): Loyalty, Prudence, and Care. ✗

B) Standard III(E): Preservation of Confidentiality. ✗

C) Standard III(C): Suitability. ✓

Explanation

Standard III(C): Suitability is *most relevant* for Smyth's meeting with Durand. This Standard requires Smyth to make a reasonable inquiry into Durand's financial situation, investment experience, and investment objectives before making any recommendations about her portfolio. Smyth must also consider the appropriateness of the existing portfolio and investment policy statement for Durand. Standard III(A) also has some relevance because Smyth is in a position of trust with respect to Durand, and Smyth must ensure that his and SIA's goals do not conflict with Durand's.

(Module 20.1, LOS 20.a)

Question #88 - 92 of 200

Question ID: 1675493

Standard VI(A): Disclosures of Conflicts requires Smyth to disclose all matters, including beneficial ownership of securities of other investments, that could be expected to impair the member's ability to make unbiased and objective recommendations. Which of the following matters would *least likely* be disclosed to Durand?

A) SIA has a soft dollar arrangement with a brokerage firm owned by Smyth's sister. ✗

B) Smyth played golf with Muller on a regular basis and developed client relationships. ✓

C) Smyth owns shares in Comax. ✗

Explanation

Smyth playing golf with Muller is not a conflict with respect to his relationship with Durand, and he does not need to disclose to her that he played golf with Muller. Muller was his client at the time, and there was full disclosure that Smyth developed new client relationships. All the other matters must be disclosed. Smyth must get Durand's approval to continue to direct brokerage from her portfolio to his sister's firm. As a director and shareowner of Comax, he has a potential conflict of interest when making a recommendation regarding Durand's Comax shares.

(Module 20.1, LOS 20.a)

Question #89 - 92 of 200

Question ID: 1675494

Which of the following *best* describes Smyth's compliance with the CFA Institute Soft Dollar Standards in his use of client brokerage?

A) Purchase of research reports is an allowable use of client brokerage. ✓

B) Purchase of research reports and attending the conference are allowable uses of client brokerage. ✗

C) Purchase of both research reports and carpeting are allowable uses of client brokerage. ✗

Explanation

The primary principles regarding the use of client brokerage are that (1) brokerage is the property of the client and (2) the investment manager has an ongoing responsibility to seek to obtain best execution, minimize transaction costs, and use client brokerage to benefit clients. Consequently, contingent on disclosure of the soft dollar arrangement to clients whose portfolios might be affected, the CFA Institute Soft Dollar Standards permit client brokerage only to be used to purchase research—that is, goods and services, the primary use of which directly assists the investment manager in the investment decision-making process and not in the management of the firm. Therefore, the only allowable use of soft dollars by Smyth is purchase of the research reports. The purchase of the carpeting to create a more pleasant environment would, at best, only contribute indirectly to the investment manager, and use of client brokerage is not permitted. Conferences may sometimes be considered research if their programs are designed to improve the investment decision-making process. In Smyth's case, the conference he attended only had sessions on the management of the investment management firm, not the investment decision-making process.

(Module 20.1, LOS 20.a)

Question #90 - 92 of 200

Question ID: 1675495

Smyth would like to continue to direct brokerage from Durand's portfolio to his sister's brokerage firm. To continue the arrangement and comply with the CFA Institute Soft Dollar Standards, which of the following disclosures are required?

A) Smyth must disclose that directed brokerage arrangements that require the investment manager to commit a certain percentage of brokerage might affect his ability to seek to obtain best execution. ✗

B) Smyth must clearly disclose that his duty as the investment manager is to continue to seek to obtain best execution. ✗

C) Smyth must clearly disclose, with specificity and in “plain language,” its policies with respect to all soft dollar arrangements. ✓

Explanation

Investment managers are required to clearly disclose, with specificity and in "plain language," its policies with respect to all soft dollar arrangements. Because brokerage is an asset of the client, not the investment manager, the practice of client-directed brokerage does not violate the CFA Institute Soft Dollar Standards. However, directed brokerage arrangements have no required disclosures beyond those required for other soft dollar arrangements. Several disclosures are recommended. Because directed brokerage may impede the investment manager's ability to seek to obtain best execution, which is one of the investment manager's fundamental responsibilities, it is recommended that investment managers disclose his duty to seek to obtain best execution—and that arrangements to commit a certain percentage of brokerage may affect his ability to do so. For all soft dollar arrangements, it is recommended, but not required that, on request from the client, investment managers provide a description of the product or service obtained through brokerage generated from the client's account.

(Module 20.1, LOS 20.a)

Question #91 - 92 of 200

Question ID: 1675496

After determining Durand's risk and return objectives, liquidity needs, tax considerations, and unique circumstances, Smyth has decided that he must reduce Durand's holdings of Comax shares. He has several other clients, whom he met through Muller, who also have significant holdings in Comax. Smyth has also decided to reduce his own holdings in Comax because his term as a director of Comax will be up in June. He does not plan to seek reappointment, but as a member of the audit committee, he is privy to information about a tender offer. Smyth realizes this is a complex situation.

Which of the following Standards would be *least likely* to help Smyth decide what actions with respect to selling shares of Comax would be in compliance with the CFA Institute Standards of Practice?

A) Standard III(B): Fair Dealing. ✗

B) Standard VI(A): Disclosure of Conflicts. ✗

C) Standard III(C): Suitability. ✓

Explanation

Standard III (C): Suitability is the standard least likely to provide Smyth with guidance when he considers selling Durand's holdings of Comax. This standard describes members' responsibilities in developing appropriate recommendations and taking suitable actions. To reach the point where he has decided to sell Durand's shares, Smyth would already have met these requirements. He has determined Durand's and his other clients' requirements and has recommended an appropriate and suitable investment action. His concern is how to implement his recommendation and be in compliance with the Standards of Professional Conduct. Smyth has several problems with respect to selling shares of Comax from Durand's portfolio and the portfolios of his other clients. First, he must comply with Standard III(B) and deal fairly and objectively with all clients and prospects when taking this investment action. Smyth must disclose his ownership of Comax to all affected clients, according to Standard VI(A), and ensure that transactions for clients take precedence over transactions on his own behalf, according to Standard VI(B).

(Module 20.1, LOS 20.a)

Question #92 - 92 of 200

Question ID: 1675497

Because Smyth is a director of Comax and a member of the audit committee, what additional Standard is specifically applicable to Smyth's decision to sell his and his clients' shares of Comax?

A) Standard II: Integrity of Capital Markets. ✓

B) Standard IV: Duties to Employers. ✗

C) Standard VII: Responsibilities as a CFA Institute Member or CFA Candidate. ✗

Explanation

As a director and member of Comax's audit committee, Smyth possesses material nonpublic information about a tender offer, which is information related to the value of Comax shares. Therefore, Smyth must be particularly concerned about complying with Standard II(A): Material Nonpublic Information. Under this standard, Smyth may not trade nor cause others until the information becomes public.

(Module 20.1, LOS 20.a)

Question #93 of 200

Question ID: 1675463

Greg Allen is a security analyst and visits David Dawson, the chief financial officer of Edmonds Company. Dawson reveals a great deal of nonmaterial financial data to Allen, data that Dawson routinely reveals to all security analysts who visit him. From this data and other industry information, Allen conjectures that Edmonds is likely to make a tender offer for another company in the industry, a fact that, if true, would be considered material to the value of the company. Allen:

A) should send a copy of the report to Dawson for verification before disseminating the report to clients. ✗

B) can publish his conclusion in a research report. ✓

C) must not disseminate the information or use it for trading purposes until the tender offer is announced. ✗

Explanation

While the information that Allen received from the Edmonds CEO may be nonpublic, we are also told that it is nonmaterial. Because Allen has reached his investment conclusion through an analysis of public information together with items of nonmaterial, nonpublic information (i.e., "mosaic theory"), publishing this conclusion is not a violation of the Code and Standards.

(Module 20.1, LOS 20.a)

Question #94 - 99 of 200

Question ID: 1675527

Watson must notify BIA of all the following except:

A) her ownership of the stock in New Medical Developments. ✗

B) her plans for taking the next CFA exam. ✓

C) any independent consulting work she performs for third parties. ✗

Explanation

Watson does not have to inform BIA about her plans to take a CFA exam. She should be careful, of course, not to misinform BIA of her plans (i.e., say she will when she knows she cannot). All of the other notifications are required. Standard VI(A) requires her to inform BIA about potential conflicts of interest. Standard IV(A) requires her to inform BIA about any consulting work she performs.

(Module 20.1, LOS 20.a)

Question #95 - 99 of 200

Question ID: 1675528

With respect to the arrangement that BIA has with Accommodate, based on the information provided:

A) a violation has occurred because BIA charges the same fee structure to all of its clients. ✓

B) no violation has occurred as long as BIA informs CFA Institute that the firm receives research information from the brokerage firm. ✗

C) no violation has occurred because BIA charges the same fee structure to all of its clients. ✗

Explanation

Watson has violated the soft dollar standard. For directing the trades through a given brokerage firm, BIA is getting research that only benefits about 10% of the clients. The remaining clients are paying the same fees, but they are not getting the same benefit. If BIA were to inform all of its clients of the arrangement, it might not be a violation, but the vignette says that information has not been disclosed.

(Module 20.1, LOS 20.a)

Question #96 - 99 of 200

Question ID: 1675529

With respect to how Jackson allocated the shares in the IPO of the technology company, has Jackson acted in accordance with the Code and Standards?

A) Yes; Jackson allocated the shares of the offering fairly on a pro rata basis to all client accounts. ✗

B) No; Jackson has violated Standard VI(B): Priority of Transactions. ✗

C) No; Jackson has violated Standard III(C): Suitability. ✓

Explanation

Jackson violated Standard III(C): Suitability by allocating shares of the public offering to the two new client accounts without establishing an investment objective or guidelines for the accounts. Standard III(C) requires a reasonable inquiry into the client's financial situation, investment experience, and investment objectives before taking any investment actions. Such information must also be updated regularly. The Standard also requires that the appropriateness and suitability of investment recommendations or actions be considered for each client, including (1) client needs and circumstances; (2) basic characteristics of the investment involved; and (3) basic characteristics of the total portfolio. Although the shares were allocated pro rata across all client portfolios, no investment action should have been initiated for the new clients without appropriate consultation regarding investment objectives and guidelines.

(Module 20.1, LOS 20.a)

Question #97 - 99 of 200

Question ID: 1675530

Given Brunswick's current ownership in New Medical, the Code and Standards require Jackson to:

A) not take any investment action, but communicate the information to other members of the proxy committee in preparation for consideration. ✗

B) not initiate any investment action before the information is publicly disseminated. ✓

C) trade the shares in client accounts before any accounts for himself, family, or friends. ✗

Explanation

Under the Code and Standards, Jackson should not initiate any investment action on the information provided by Watson in order to prevent a violation of Standard II(A): Material Nonpublic Information. The information provided by Watson involved a proposed confidential tender offer for New Medical's outstanding shares—and, therefore, was material, nonpublic information. Information is *material* if its disclosure would have an impact on the stock value, or if a reasonable investor would want to know the information before making an investment decision. Material is *nonpublic* until it has been generally disseminated to the marketplace and investors have had an opportunity to react to the information. Neither Jackson nor Watson should take any investment action regarding New Medical. Upon receipt of the information, Jackson should inform his compliance officer of the information, but otherwise, he should keep the information confidential. However, not responding to unsolicited requests from clients to purchase New Medical is a possible violation because it appears that he is not acting in the best interest of the clients.

(Module 20.1, LOS 20.a)

Question #98 - 99 of 200

Question ID: 1675531

Given Watson's actions, which of the following statements is *most accurate*?

A) Standard III(A): Loyalty, Prudence, and Care was violated. ✗

B) Standard III(E): Preservation of Confidentiality was violated. ✗

C) None of the Code and Standards were violated. ✓

Explanation

Watson communicated the tender offer information to her supervisor, which is not a violation of any standards because shares of the target firm, New Medical, are held in some of BIA's client's portfolios and in the firm's proprietary account—thus, trading in New Medical should be put on a restricted list. The information provided by Watson involved a proposed tender offer for New Medical's outstanding shares—and, therefore, was material, nonpublic information. Information is *material* if its disclosure would have an impact on the stock value, or if a reasonable investor would want to know the information before making an investment decision. Material is *nonpublic* until it has been generally disseminated to the marketplace and investors have had an opportunity to react to the information. Neither Jackson nor Watson should take any investment action regarding New Medical, and it should be added to Brunswick's restricted list to prevent a violation. Because Watson serves on the board of New Medical, she has a duty to the firm, but the communication of the tender offer (for New Medical) by Watson to Jackson is not a violation of Standard III(A): Loyalty, Prudence, and Care because neither New Medical nor the offering firm, Remedy, are clients of BIA the firm Watson works for. Standard III(E): Preservation of Confidentiality does not appear to have been violated by Watson's actions. She does not appear to communicate any confidential information provided by clients, prospects, or her employer concerning the scope of any client-member, prospect-member, or employer-member relationship.

(Module 20.1, LOS 20.a)

Question #99 - 99 of 200

Question ID: 1675532

With respect to the complaint Mills filed against Jackson, and the subsequent investigation of Mills by CFA Institute, which of the following statements is *least accurate*?

A) Jackson did not violate the Code and Standards if he provides Mills's trading information to CFA Institute. ✗

B) Jackson violated the Code and Standards by putting New Medical Developments on its restricted stock list. ✓

C) Jackson violated the Code and Standards by not responding to Mills. ✗

Explanation

Rules concerning the confidentiality of client information do not apply to investigations of CFA Institute, which will keep any information it receives confidential. Jackson does not violate a Standard by placing a stock on a restricted list when the firm is in possession of material, nonpublic information, and this is a recommended move. However, unsolicited requests from clients deserve a response. Jackson is putting his self-interest above his own by trying to protect himself by not responding to client inquiries concerning New Medical.

(Module 20.1, LOS 20.a)

Question #100 - 105 of 200

Question ID: 1675556

Because there are currently no compliance procedures in place, Lee should:

A) implement procedures based upon Korean securities laws and adjust these to conform with the CFA Institute Code and Standards as situations arise. ✗

B) determine what constitutes adequate compliance procedures under the CFA Institute Code and Standards and then implement such procedures immediately. ✓

C) implement a comprehensive set of compliance procedures immediately and verify their conformance with the CFA Institute Code and Standards as circumstances dictate. ✗

Explanation

To best conform to the CFA Institute Code and Standards, Lee should first define what constitutes *adequate standards*. According to Standard IV(C): Responsibilities of Supervisors, "adequate procedures are those designed to meet industry standards, regulatory requirements, the requirements of the Code and Standards, and the circumstances of the firm." Once this has been done, he should implement the procedures immediately.

(Module 20.1, LOS 20.b)

Question #101 - 105 of 200

Question ID: 1675557

Before her meeting with Lee, did Jin's decision regarding the disclosure of the arrangement with Rearguard Funds violate any CFA Institute Standards of Professional Conduct?

A) No; she disclosed the arrangement with Rearguard to Lee in their meeting. ✗

B) No; there was very little likelihood that she would actually receive a commission from Rearguard. ✗

C) Yes.

Explanation

To be in compliance with Standard IV(B), Jin must disclose all additional compensation arrangements, in writing, to her employer. It does not matter whether Rearguard actually pays her a commission on the funds or whether the firm previously had such a policy. In addition, the relationship with Rearguard creates a potential conflict of interest between Jin and her clients because she may be tempted to increase her income by recommending Rearguard funds that are inappropriate for her clients' needs. Standard VI(A): Disclosure of Conflicts requires disclosure of such conflicts to clients and prospects. There is no indication that Jin has made such a disclosure.

(Module 20.1, LOS 20.b)

Question #102 - 105 of 200

Question ID: 1675558

With regard to Yu's recommendation that investors sell Korean bonds, did Lee and Yu violate any CFA Institute Standards of Professional Conduct?

A) Only one person violated the CFA Institute Standards.

B) Neither Lee nor Yu violated any CFA Institute Standards.

C) Both Lee and Yu violated the CFA Institute Standards.

Explanation

Yu is in violation of Standard II(A): Material Nonpublic Information, as she has used material nonpublic information in her investment recommendations. She is forbidden to act upon such information. Lee, the firm's compliance officer, has violated Standard IV(C): Responsibilities of Supervisors in the discharge of his responsibility as a supervisor. Given the abrupt change in the recommendation, Lee should have attempted to determine if there was a reasonable basis for the dramatic shift in opinion.

(Module 20.1, LOS 20.b)

Question #103 - 105 of 200

Question ID: 1675559

With respect to the release of Yu's investment recommendation, did Yu violate any CFA Institute Standards of Professional Conduct?

A) Yes; Yu should have released the recommendation to the individual and institutional clients first.

B) Yes; Yu should have released the recommendation to the portfolio managers first.

C) No.

Explanation

According to Standard III(B): Fair Dealing, members and candidates must ensure that all clients are treated equitably regarding investment recommendations and investment actions. Because MH has clients who subscribe to their research service but do not pay for portfolio management services, and the firm has clients who pay for discretionary portfolio management, investment recommendations must be communicated to research subscribers and the firm's portfolio managers simultaneously to ensure that all clients have equal opportunity to trade on the firm's research without being disadvantaged because of the type of service the client receives.

(Module 20.1, LOS 20.b)

Question #104 - 105 of 200

Question ID: 1675560

In soliciting the list of 10 previously rejected prospects and the list of 15 viable prospects, did Larson violate any CFA Institute Standards of Professional Conduct?

A) Yes, regarding both lists.

B) No, regarding both lists.

C) Yes, regarding only one of the lists.

Explanation

According to Standard IV(A): Loyalty, Larson must not solicit current or prospective Affinity clients before his leaving. Larson is allowed to solicit prospects that have been rejected by Affinity as long as he does so on his own time, does not use Affinity's client lists, and his actions do not impair his performance at work. His solicitation of prospects who are still viable for Affinity is a clear violation of duty to his employer under Standard IV(A).

(Module 20.1, LOS 20.b)

Question #105 - 105 of 200

Question ID: 1675561

Does the compliance program developed by Lee after his meetings with MH employees comply with CFA Institute Standards of Professional Conduct?

A) No. Authority to enforce the compliance program should rest with the compliance officer.

B) Yes.

C) No. Assigning supervisory duties takes away the responsibility of all supervisors to detect all violations of the compliance procedures.

Explanation

According to Standard IV(C): Responsibilities of Supervisors, the responsibility to implement procedures and the authority to enforce the procedures should both reside with the compliance officer (in this case, Lee, rather than Jin, who is an investment officer).

(Module 20.1, LOS 20.b)

Question #106 of 200

Question ID: 1675391

Which of the following is a correct statement of a member's duty under the Code and Standards?

A) A member who trades securities in a country with less strict laws, rules, regulations, or customs may follow those laws if he discloses this information to his client.

B) A member is required to comply only with applicable local laws, rules, regulations, or customs, even though the CFA Institute Code and Standards may impose a higher degree of responsibility or a higher duty on the member.

C) In the absence of specific applicable law or other regulatory requirements, the Code and Standards govern the member's actions.

Explanation

Members are always, at a minimum, subject to the Code and Standards.

(Module 20.1, LOS 20: I(A))

Question #107 of 200

Question ID: 1675406

Mega Securities, a multinational investment advisor based in the United States, employs the following analysts who practice in multiple jurisdictions:

- Melissa Black, CFA, resides in Country N, which has no securities laws or regulations—but she does business in Country L, which has securities laws and regulations that are less strict than the Code and Standards.
- Tom White, a CFA Institute member, resides in Country L—but he does business in Country S, which has securities laws and regulations that are stricter than the Code and Standards.

According to the CFA Institute Code and Standards, which of the following statements about Black and White is correct?

	Black must adhere to the:	White must adhere to the:	
A)	Law of Country N	Law of Country L	✗
B)	Law of Country L	Law of Country S	✗
C)	Code and Standards	Law of Country S	✓

Explanation

Because the applicable law in Country L is *less* strict than the Code and Standards, Black must adhere to the Code and Standards. Because the applicable law is *stricter* than the Code and Standards, White must adhere to the more strict applicable law of Country S.

(Module 20.1, LOS 20: I(A))

Question #108 of 200

Question ID: 1675422

Susan Nielsen, CFA, is an equity research analyst on a fact-finding property tour with six other analysts to learn about Just Kittens, Inc. Just Kittens sells tungsten ball bearings and has 16 warehouses, and 20 manufacturing, research, and wholesale sales outlets scattered over eight countries—mostly emerging markets. Because of the remote location of some of the facilities, commercial travel is effectively unavailable. Just Kittens charters a jet and various buses to take the research analysts to the properties. If Nielsen accepts these accommodations, she is *most likely*:

A) in violation of Standard I(B): Independence and Objectivity. ✗

B) not in violation of Standard I(B): Independence and Objectivity because best practices dictate that better access to company executives is likely to lead to more accurate and timely information. ✗

C) not in violation of Standard I(B): Independence and Objectivity because commercial travel is effectively unavailable. ✓

Explanation

Nielsen is not in violation of Standard I(B): Independence and Objectivity because commercial travel is effectively unavailable.

(Module 20.1, LOS 20: I(B))

Question #109 of 200

Question ID: 1675457

In the course of reviewing Corn Co., an analyst received comments from management that (while not meaningful by themselves), when pieced together with data he has accumulated from outside sources, led him to recommend placing Corn Co. on his firm's sell list. What should the analyst do?

A) He should show his report to his manager and counsel for their review because this information became material once it was combined with his analysis. ✗

B) He should not issue the report until the comments are publicly announced. ✗

C) The comments are nonmaterial, and the report can be issued as long as he maintains a file of the facts as supplied by management. ✓

Explanation

This is an example of the mosaic theory, where separate pieces of nonmaterial information are pieced together to make an investment recommendation.

(Module 20.1, LOS 20.a)

Question #110 of 200

Question ID: 1675479

June Bird is a pension consultant asked to advise on the Backwater County Pension Plan. Bird notices that 20% of the plan's assets are invested in privately held local businesses. Bird is concerned about the lack of liquidity and diversification caused by such an investment. She learns that state law allows investing in local businesses, and county law requires at least one-fifth of the plan's assets to be dedicated to investing in local businesses. Bird:

A) must immediately resign as a consultant to the plan. ✗

B) can continue to advise the pension plan as best as she can with the restrictions. ✓

C) should file a written complaint to the Department of Labor pointing out that the law is in conflict with the Employee Retirement Income Security Act (ERISA). ✗

Explanation

According to Standard III(A): Loyalty, Prudence, and Care, Bird can continue to serve as a consultant to the plan, but she must follow the applicable law.

(Module 20.1, LOS 20.a)

Question #111 of 200

Question ID: 1675487

Brenda Simone is a money manager, and the Blue Streets pension fund is one of her clients. The director of the pension fund calls Simone and asks her to use a particular broker so that the fund can obtain some research services with the soft dollars from that broker. Simone believes that the desired broker will provide the same price and execution as the normal broker that Simone uses. Simone does as the client wishes. Simone has:

A) not violated the Standards, as long as the research provided by the broker will benefit the plan beneficiaries. ✓

B) not violated the Standards, as long as the research provided by the broker will benefit Blue Streets. ✗

C) violated the Standards. ✗

Explanation

Simone must ensure that the research benefits the parties to whom she owes fiduciary duty, which are the plan participants.

(Module 20.1, LOS 20.a)

Question #112 of 200

Question ID: 1675480

Scott Andrews, CFA, is a stockbroker selling an oversubscribed stock issue. Which of the following *best* describes his actions regarding this sale? Andrews:

A) can offer this security on a prorated basis to all clients for which the security is appropriate. ✓

B) can only offer this security to clients for which it is appropriate on a first-come, first-serve basis. ✗

C) cannot offer an oversubscribed issue of stock to any clients. ✗

Explanation

Standard III(B): Fair Dealing applies. When new issues or secondary offerings are available or are being offered by the firm, or if the firm is part of a selling syndicate, all clients for whom the security is appropriate are to be offered a chance to take part in the issue. *If the issue is oversubscribed, then the issue is to be prorated to all subscribers.*

(Module 20.1, LOS 20.a)

Question #113 of 200

Question ID: 1675584

Jade Carter passed Level III of the CFA examination in June, but she will not complete her work experience requirement until August of next year. Carter can state on her resume that she:

A) is a CFA in waiting. ✗

B) will be a CFA charterholder in August of next year, as long as she is on track to complete her work experience. ✗

C) passed Levels I, II, and III of the CFA examination. ✓

Explanation

Candidates cannot use any form of the CFA designation until receiving their charter.

(Module 20.1, LOS 20.a)

Question #114 of 200

Question ID: 1675460

Betsy Fox is an investment advisor who has a client, Don Gordon, who is an employment lawyer. At lunch, Fox noticed Gordon and the chief financial officer of Blue Star Company at the next table. She overhears them talking and ascertains that Blue Star is about to announce higher-than-expected earnings. Before the earnings release, Gordon contacts Fox and asks her to purchase 3,000 shares for his portfolio. Fox:

A) can only purchase shares for her personal account after informing all of her clients about the potential of the increase in earnings. ✗

B) must refuse to purchase shares for Gordon. ✓

C) can purchase shares for Gordon, but cannot ever purchase shares for her personal account. ✗

Explanation

According to Standard II(A): Material Nonpublic Information, Fox cannot act or cause others to act on material nonpublic information until the information is made public. The information overheard at lunch was material and nonpublic; therefore, Fox must wait until the information is made public before accepting Gordon's order.

(Module 20.1, LOS 20.a)

Question #115 - 120 of 200

Question ID: 1675499

When Singh receives the sell order for QuickStop, he should:

A) ask the client to delay the order until he sees the new research report. ✗

B) process the sell order immediately to fulfill his fiduciary duty to the client. ✗

C) tell the client about the buy rating and advise him not to sell the stock. ✓

Explanation

Standard III(B): Fair Dealing requires analysts to inform clients of rank changes before accepting the order. Delaying the order or asking a client to wait without explanation could violate the fair dealing Standard as well as the Standard relating to fiduciary duties.

(Module 20.1, LOS 20.a)

Question #116 - 120 of 200

Question ID: 1675500

Womack's trading actions are a violation of:

A) Standard IV(A): Loyalty to Employer and Standard III(B): Fair Dealing. ✗

B) Standard III(E): Preservation of Confidentiality and Standard VI(B): Priority of Transactions. ✗

C) Standard III(A): Loyalty, Prudence, and Care and Standard VI(B): Priority of Transactions. ✓

Explanation

Womack's actions violate the Standards related to fair dealing, priority of transactions, and fiduciary duties.

(Module 20.1, LOS 20.a)

Question #117 - 120 of 200

Question ID: 1675501

With regard to his coverage of HighLife stock, Singh:

A) did not violate the Standards for reasonable basis or research reports. ✓

B) violated the reasonable basis Standard by downgrading a stock just because it missed one quarterly earnings estimate. ✗

C) violated the research reports Standard because he failed to differentiate between facts and opinions. ✗

Explanation

Singh reported a series of facts that led him to draw a conclusion and identified the conclusion as his own. No nonpublic information was used in the HighLife analysis. While Singh did say that missing an earnings target would spur a downgrade, he made it clear that he had broader concerns about the firm's market share. Missing an earnings target would simply be confirmation of his concerns, and thus be the catalyst to his change of opinion.

(Module 20.1, LOS 20.a)

Question #118 - 120 of 200

Question ID: 1675502

After Singh changed his investment recommendation for HighLife from a buy to a hold, he violated:

A) Standard III(B): Fair Dealing by not telling clients about the downgrade of HighLife in the wake of his promise to downgrade the stock if it missed estimates. ✓

B) Standard V(A): Loyalty, Prudence, and Care by not exercising reasonable care and prudent judgment in his research. ✗

C) Standard I(C): Misrepresentation by not exercising diligence and thoroughness in his research. ✗

Explanation

A change in stock rating is always material, and it must always be disclosed to clients. Thus, Singh violated Standard III(B). Singh did not violate a fiduciary duty to his clients because he did not put anyone's interest above theirs. As an analyst, Singh's job is to assess the appeal of an investment, not to make investment decisions for individual accounts. As such, he did not violate Standard III(C). Standard I(C) relates to misrepresenting qualifications or guaranteeing investment returns, and it is not relevant to this situation.

(Module 20.1, LOS 20.a)

Question #119 - 120 of 200

Question ID: 1675503

Horizon's proposed IPO allocation procedures are:

A) a violation of Standard III(A): Loyalty, Prudence, and Care but not Standard VI(B): Priority of Transactions. ✗

B) not a violation of Standard I(B): Independence and Objectivity. ✓

C) not a violation of Standard III(B): Fair Dealing if they are disclosed to all clients and prospects. ✗

Explanation

Independence and objectivity has not been violated. According to Standard III(B), allocation of new issues according to advance indications of interest should be done on a pro rata basis by client, rather than by *portfolio manager*. Therefore, Horizon's policy is not fair and equitable. Disclosure of this inequitable allocation method does not relieve Horizon of its obligation that the allocation method be fair and equitable. While the policy may violate fiduciary duty as required by Standard III(A), it does violate Standard VI(B), which relates to the priority of transactions.

(Module 20.1, LOS 20.a)

Question #120 - 120 of 200

Question ID: 1675504

Which of the following trade allocation procedures being considered for Horizon's trade allocation policy would not be consistent with Standard III(B): Fair Dealing?

A) Regular orders are processed and executed on a pro rata basis. ✗

B) When the full amount of a block order is not executed, partially executed orders are allocated on a first-in, first-out basis. ✓

C) All clients participating in block trades are given the same execution price, and all clients are charged the same commission. ✗

Explanation

All orders should be allocated on a pro rata basis based on order size—not on a first-in, first-out basis. The other regulations satisfy the fair dealing Standard.

(Module 20.1, LOS 20.a)

Question #121 of 200

Question ID: 1675374

Lawrence Kelly is the chief investment officer at a money management company that claims it is in compliance with CFA Institute Soft Dollar Standards. For the first time, the company has purchased securities in the country of Santa Rosa. He learns that under Santa Rosan law, one of the company's soft dollar policies is forbidden, yet to conform with the law, Kelly would have to violate the Soft Dollar Standards, but not the Standards of Professional Conduct. Kelly:

A) should follow the Santa Rosan law and can still claim compliance with CFA Institute Soft Dollar Standards. ✓

B) must follow the Santa Rosan law and cease claiming compliance with CFA Institute Soft Dollar Standards. ✗

C) must follow the CFA Institute Soft Dollar Standards, informing the Santa Rosan regulators of his reasons. ✗

Explanation

In cases when the Soft Dollar Standards conflict with local law, managers should follow local law and are still in compliance with the Standards.

(Module 20.1, LOS 20: I(A))

Question #122 of 200

Question ID: 1675404

If a CFA Institute member knows that a fellow member has violated the Code and Standards, according to Standard I(A), the member is:

A) required to dissociate from the activity and strongly encouraged to report it. ✓

B) strongly encouraged to dissociate from the activity. ✗

C) required to report the activity. ✗

Explanation

Standard I(A) does not require a CFA Institute member to report potential violations by others, but it "strongly encourages members and candidates to report potential violations of the Code and Standards committed by fellow members and candidates."

(Module 20.1, LOS 20: I(A))

Question #123 of 200

Question ID: 1675375

Georgia Jones, CFA, is an analyst for Johnson, Thomas & Co. She also serves as an outside director for Dewey Manufacturing, Inc. In the course of her duties, she begins to believe that Dewey's income statement for the most recent period may have been misstated. Jones should do all of the following except:

A) consult with Dewey Manufacturing's legal counsel. ✗

B) inform the Securities and Exchange Commission. ✓

C) consult with Johnson, Thomas's legal counsel. ✗

Explanation

Jones must pursue her concerns about a possible misstatement because, if material, it may be misleading to investors. Consistent with Standard I(A), Jones must not knowingly participate or assist in a regulatory violation. As long as her concerns exist, she must not validate any financial statements by voting to approve them. In addition, she should seek competent legal counsel both at her own firm and at Dewey Manufacturing. She should not go to regulatory bodies until she has more certainty about the possible misstatement and has received counsel that she should proceed.

(Module 20.1, LOS 20: I(A))

Question #124 of 200

Question ID: 1675412

Bob Blanford, CFA, is an investment analyst for a large global brokerage firm. He recently moved to Ragatan, a developing country with few securities laws and regulations. As part of conducting a company analysis, Blanford interviews Ravi Shanti, vice president of finance at Starr Industries (Starr). Starr is a major industrial firm in Ragatan and a client at Blanford's firm. Based on his analysis, Blanford suspects that Shanti may have deliberately overstated Starr's current earnings and its earnings for the past several quarters. If this information becomes public, Blanford believes that Starr's stock price will drop substantially. Blanford suspects that Shanti may have violated Ragatan's securities laws. Which of the following statements is *least likely* to comply with Standard I: Professionalism? Blanford should:

A) take no action. ✓

B) disassociate himself from the client, if the activity is illegal or unethical. ✗

C) determine the legality of the activity, possibly by consulting counsel. ✗

Explanation

Because Blanford suspects Shanti of engaging in ongoing illegal activities, Blanford should take action by determining the legality of the suspected action, disassociating from any illegal activity, and urging his firm to attempt to persuade Shanti to cease such conduct if such an activity is illegal or unethical.

(Module 20.1, LOS 20: I(A))

Question #125 of 200

Question ID: 1675574

Lynne Jennings is a chemical industry research analyst for a large brokerage company. That industry is currently seeing an increase in mergers and acquisitions. While flying through Chicago, Jennings sees several senior officers, who she knows are from the largest and fourth-largest chemical companies, walk into a conference room. She concludes that negotiations for an acquisition might be taking place. Jennings:

A) should inform her compliance officer that she has material nonpublic information on firms she covers. ✗

B) may use this information to support an investment recommendation. ✓

C) may not act or cause others to act on this information. ✗

Explanation

The fact that the company officers met is not material nonpublic information. As long as she bases her investment recommendation on her own independent research, Jennings will not violate any Standards if she uses this additional information to support it.

(Module 20.1, LOS 20.a)

Question #126 of 200

Question ID: 1675413

Shortly after becoming employed by Valco & Co., an investment banking firm, Stan McDowell, CFA, learns that most of Valco's initial public offerings (IPOs) are intended to profit management via price manipulation of the shares. McDowell observes an illegal act, sanctioned by senior management, in progress and refuses to sign off on his responsibility. Instead, McDowell takes the documentation to his supervisor and tells him he should sign it in his place. This action is a(n):

A) overreaction, as senior management's sanctioning of the act absolves McDowell from his ordinary responsibility as a CFA Institute member. ✗

B) violation of the Code and Standards because he is required not to knowingly participate or assist in such an act. ✓

C) suitable reaction, and he is in compliance with the Code and Standards. ✗

Explanation

McDowell, by his action in taking the documentation to his supervisor, is knowingly participating in and/or assisting in an illegal act. This is clearly prohibited under Standard I(A), and he is in violation of the Standard.

(Module 20.1, LOS 20: I(A))

Question #127 of 200

Question ID: 1675389

Which of the following statements about the CFA Institute Code and Standards is *most accurate*? They:

A) do not require that members report legal violations to the appropriate government or regulatory organization. ✓

B) require members to persuade the perpetrator to cease illegal activities. ✗

C) prohibit members from accepting gifts that create a conflict with their employer's interest. ✗

Explanation

The Code and Standards do not *require* members to report violations to legal authorities, but such disclosure may be prudent or required in certain circumstances. They do not require members to quit their jobs or to persuade violators to cease illegal activities. They *do* require that members report the activities to the appropriate person(s) in their own firm and disassociate themselves from the illegal actions. Members must obtain written permission to accept gifts that create a conflict with their employer's interest.

(Module 20.1, LOS 20: I(A))

Question #128 of 200

Question ID: 1675554

After a very successful quarter of high investment returns, Judy O'Berry, CFA, receives several gifts from grateful clients. O'Berry considers the gifts to be of novelty or sentimental value only, but she hears rumors that several junior employees are jealous of the attention she received for the group's efforts. She decides to consult the company's compliance rules on gifts and is surprised to learn her firm has no established rules. She consults the Standards of Practice Handbook, and then submits proposed rules on gifts to her company's compliance department. These rules should contain all of the following except:

A) restrictions on all types of business entertainment.

B) a formal value limit based on local customs.

C) a requirement to disclose the gift.

Explanation

The rules should contain a formal value limit based on local customs. Not all types of business entertainment are forbidden. Only business entertainment that is intended to influence or reward members and candidates should be avoided.

(Module 20.1, LOS 20.a)

Question #129 of 200

Question ID: 1675580

David Lynch is an individual investment advisor who uses mutual funds for his clients. He typically chooses funds from a list of 40 funds that he has thoroughly researched. The Palmers, a married couple and a client, asked him to consider the Twin Peaks fund for their portfolio. Lynch had not previously considered the fund because when he first conducted his research three years ago, Twin Peaks was too small to be considered. However, the fund has now grown in value, and after doing thorough research on the fund, he finds the fund has suitable characteristics to be included in his acceptable list of funds. He puts the fund in the Palmers' portfolio, but not in any of his other clients' portfolios. The fund ends up being the best-performing fund of any of the funds on his list. Has Lynch violated any Standards? Lynch has:

A) violated the Standards by not dealing fairly with clients. ✗

B) violated the Standards by not disclosing conflicts to clients. ✗

C) not violated the Standards. ✓

Explanation

Before the discovery of the fund, Lynch did not put all of the same funds in all of his clients' portfolios, so there was no reason to do so now. The fund was among a list of other good funds. Lynch had no conflicts to disclose to clients, and did not deal unfairly with clients.

(Module 20.1, LOS 20.a)

Question #130 of 200

Question ID: 1675435

Jennifer Gates is an individual portfolio manager who only uses mutual funds for her clients; she has, therefore, never created a portfolio of stocks. She enters an internet chat room on investments and starts answering questions about investments. She states in the chat room that she has a CFA designation. One woman in particular is interested and questions her about the viability of creating her own stock portfolio. Gates feels that this would be a mistake because she only has $150,000 to invest, and states, "I have experience creating stock portfolios, and it does not make sense to do so with only $150,000." The woman she has chatted with sends her an email and eventually becomes a client of hers. Gates has:

A) not violated the Standards. ✗

B) violated the Standards by misrepresenting her experience. ✓

C) violated the Standards by soliciting business over the internet. ✗

Explanation

One cannot misrepresent their experience, even over the internet.

(Module 20.1, LOS 20.a)

Question #131 of 200

Question ID: 1675488

Maggie McCarthy is an individual investment advisor who uses mutual funds for her clients. She typically chooses from a list of 40 funds that she has thoroughly researched. The Figgs, a married couple and McCarthy's client, asked her to consider the Boilermaker fund for their portfolio. McCarthy had not previously considered the fund because when she first conducted her research three years ago, Boilermaker was too small to be considered. However, the fund has now grown in value, and after doing thorough research on Boilermaker, she found the fund was by far the most outstanding large company value fund in her list of funds. She puts the fund in the Figgs' portfolio, and in all new clients' portfolios, but not in any of her other clients' portfolios. Her reasoning is that her existing clients were comfortable with their current holdings, and she did not want to risk disturbing their comfort. Has McCarthy violated any Standards? McCarthy has:

A) violated the Standards by not having a reasonable and adequate basis for making the recommendation. ✗

B) violated the Standards by not dealing fairly with clients. ✓

C) not violated the Standards. ✗

Explanation

The fund should have been considered for the existing clients' portfolios. There may have been reasons not to add the fund to their portfolios, such as tax consequences or a lack of suitability, but disturbing their comfort is not sufficient.

(Module 20.1, LOS 20.a)

Question #132 of 200

Question ID: 1675378

According to the CFA Institute Standards of Professional Conduct, Standard I(A): Knowledge of the Law, members must not knowingly participate or assist in any violations of laws, rules, or regulations. An analyst:

A) is held responsible for participating in illegal acts when the law is evident to anyone knowing the law and can participate in a violation by having knowledge of the violation and taking no action to stop it or disassociate from it.

B) is held responsible for participating in illegal acts when the law is evident to anyone knowing the law and is held responsible for violations by others when the analyst is unaware of the facts giving rise to the violation.

C) must report all legal violations to the proper regulatory commission and is held responsible for participating in illegal acts when the law is evident to anyone knowing the law.

Explanation

If you suspect someone is planning or engaging in illegal activities, you should do the following:

1. Determine the legality of the activities. Consult your supervisor and legal counsel.
2. Take appropriate action. Disassociate, and attempt to persuade the perpetrator to stop. CFA Institute does not require you to report them to the authorities, but the law might.

(Module 20.1, LOS 20: I(A))

Question #133 of 200

Question ID: 1675579

Steve Jones is a portfolio manager for Gregg Advisors. Gregg has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Gregg model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as buys by the model. Jones thoroughly understands the model and uses it with all of his clients. Jones is:

A) violating the Standards in purchasing stocks without a thorough research basis and in not disclosing all alterations of the model to clients.

B) violating the Standards in not disclosing all alterations of the model to clients, but not in purchasing stocks without a thorough research basis.

C) not violating the Standards, either in purchasing stocks without a thorough research basis or in not disclosing all alterations of the model to clients.

Explanation

Jones and Gregg are using reasonable judgment in not continually disclosing all of the alterations of the model. It is acceptable to use a pure quantitative model as a sole basis for purchasing stocks, as long as it is thoroughly researched.

(Module 20.1, LOS 20.a)

Question #134 of 200

Question ID: 1675379

Deloris Johnson, CFA, observed that her supervisor has violated a federal securities regulation. Johnson discussed the matter with her company's compliance department, but they have taken no action. According to the CFA Institute Code and Standards of Professional Conduct, Johnson is required to:

A) report the violation to securities regulators. ✗

B) dissociate from the supervisor's activity. ✓

C) confront the supervisor and attempt to stop the violation. ✗

Explanation

Johnson must dissociate herself from her supervisor's activity (e.g., asking to be reassigned). The Code and Standards do not require Johnson to report the violation to government or regulatory organizations unless doing so is required by applicable law. Johnson has attempted to stop the violation by discussing it with her compliance department. She is not required by the Code and Standards to confront the supervisor.

(Module 20.1, LOS 20: I(A))

Question #135 of 200

Question ID: 1675397

CFA Institute members should encourage their employers to do all of the following except:

A) conduct background checks on potential employees to ensure that they are of good character and eligible to work in the investment industry. ✗

B) require employees to write personal ethics statements. ✓

C) make clear that dishonest personal behavior reflects poorly on the profession. ✗

Explanation

There is no reason to have employees write personal ethics statements. CFA Institute encourages all of the other actions.

(Module 20.1, LOS 20: I(A))

Question #136 of 200

Question ID: 1675388

Janet Green, CFA, provides investment advice and other services to clients in several countries. She resides in Country A, whose securities laws and regulations are less strict than the Code and Standards. She also conducts business with clients in Country B, which has no securities laws or regulations, and in Country C, which has securities laws and regulations that are stricter than the Code and Standards. Which of the following statements is correct? According to CFA Institute Standards of Professional Conduct, Green must adhere to the Code and Standards in:

A) Country A, Country B, and Country C. ✗

B) Country A, but the law in Country B and Country C. ✗

C) Country A and Country B, but the law in Country C. ✓

Explanation

Green needs to follow Standard I(A): Knowledge of the Law. In Country A, Green must adhere to the Code and Standards because Country A's laws are less strict. In Country B, Green must also adhere to the Code and Standards because Country B has no securities laws. Because Country C's applicable law is stricter than the requirements of the Code and Standards, Green must adhere to the law in Country C.

(Module 20.1, LOS 20: I(A))

Question #137 of 200

Question ID: 1675390

Which of the following statements about the responsibilities of CFA charterholders is correct? CFA charterholders:

A) are only obligated to comply with securities laws in the United States. ✗

B) need not comply with the laws and rules governing their profession or must not engage in any individual behavior that reflects adversely on the entire profession. ✗

C) must comply with the laws and rules governing their profession and must not engage in any individual behavior that reflects adversely on the entire profession. ✓

Explanation

CFA charterholders must comply with the laws and rules governing their profession and must not engage in any individual behavior that reflects adversely on the entire profession. While they should act honorably and follow U.S. securities laws, they are obligated to more than that, as set forth in the Code and Standards.

(Module 20.1, LOS 20: I(A))

Question #138 of 200

Question ID: 1675485

Patricia Cuff is the chief financial officer and compliance officer at Super Selection Investment Advisors, an organization that has incorporated the CFA Institute Code of Standards into the firm's compliance manual. Karen Trader is a portfolio manager for Super Selection. Trader is friendly with Josey James, president of AMD, a rapidly growing biotech company. Trader has served on AMD's board of directors for the last three years. James has asked Trader to commit to a large purchase of AMD stock for Trader's clients' portfolios. Trader had previously determined that AMD was a questionable investment, but she agreed to reconsider. Her reevaluation deemed the stock to be overpriced, but Trader nevertheless decides to purchase for her portfolios. Which standard was *least likely* violated?

A) III(B): Fair Dealing.

B) V(A): Diligence and Reasonable Basis.

C) III(A): Loyalty, Prudence, and Care.

Explanation

Standard III(B): Fair Dealing is not directly applicable to this situation; that standard prohibits members and candidates from discriminating against any clients when disseminating recommendations or taking investment action. Trader has clearly violated Standard III(A): Loyalty, Prudence, and Care, which requires that members and candidates act for the benefit of their clients and place their clients' interests before their own interests. Trader has also violated Standard V(A): Diligence and Reasonable Basis, which requires members and candidates to have a reasonable and adequate basis for any investment recommendation or action.

(Module 20.1, LOS 20.a)

Question #139 of 200

Question ID: 1675434

Travis Brown is a partner in a money management firm. He recently attended a seminar and learned about a quantitative model presented by Dixon. Upon returning to his office, Brown began testing the model and making a few minor alterations. He showed the model to his partners, who were impressed; they decided to promote the model as proof of the firm's value added. In the firm's next newsletter, Brown included a discussion of the model, the results, and financial data on several stocks selected by the model. These factual data were taken from Standard and Poor's publication. According to the CFA Institute Standards of Professional Conduct, which of the following actions is Brown required to take?

A) Brown must credit both Dixon and S&P.

B) Brown must credit S&P—there is no need to credit Dixon.

C) Brown must credit Dixon—there is no need to credit S&P.

Explanation

The Standards require members to acknowledge the author of a model, but members are not required to acknowledge information from a recognized statistical and reporting service.

(Module 20.1, LOS 20.a)

Question #140 of 200

Question ID: 1675395

A government committee has concluded that investment company fees should be disclosed to clients each quarter and has proposed new legislation to require this. Currently, the legal requirement is to report such data annually. In compliance with current legal requirements, Dolphin Investments (Dolphin) discloses its fees annually. Eugene Shin, CFA, Dolphin's compliance officer, learns of the proposed changes but does not convert Dolphin's reporting to a quarterly basis. Shin's decision not to act:

A) is a violation of his duty to employer as defined in the Code and Standards.

B) constitutes professional misconduct as defined in the Code and Standards.

C) is not a violation of the Code and Standards.

Explanation

The potential change in the law is only a proposal at this stage. There is no violation, as long as Dolphin is following the regulations currently in force.

(Module 20.1, LOS 20: I(A))

Question #141 of 200

Question ID: 1675382

Which of the following is a correct statement of a member's duty under the Code and Standards?

A) In the absence of specific applicable law or other regulatory requirements, the Code and Standards govern the member's actions. ✓

B) A member who trades securities in a foreign securities market where no applicable local laws or stock exchange rules regulate the use of material nonpublic information may take investment action based on this information. ✗

C) A member is required to comply only with applicable local laws, rules, regulations, or customs, even though the Code and Standards may impose a higher degree of responsibility or a higher duty on the member. ✗

Explanation

The Code and Standards represent a minimum level of guidance for members' actions, not a maximum level. The key to remember here is that whether the local area does or does not have standards governing member's actions, one must follow the stricter standard environment.

(Module 20.1, LOS 20: I(A))

Question #142 of 200

Question ID: 1675409

Michael Bellow, CFA, CAIA, is an investment banker who is involved with an initial public offering (IPO) of NewCo. Because this is Bellow's first involvement in an IPO, he reports to an experienced supervisor. While reviewing past financial statements provided by NewCo, Bellow suspects that NewCo deliberately overstated its earnings for the past several quarters. Bellow seeks the advice of his firm's highly competent general counsel and follows the advice given without deviation. Based on the general counsel's advice, Bellow consults his immediate supervisor about the suspected overstatement of earnings. After reviewing the situation, Bellow's supervisor explains why NewCo's calculations of its earnings are correct. Bellow realizes that his inexperience and exuberance initially led him to an incorrect conclusion about NewCo's earnings.

Which of the following statements about Bellow's actions involving Standard I(A): Knowledge of the Law and Standard I(C): Misrepresentation, is correct? Bellow:

A) violated both Standard I(A) and Standard I(C). ✗

B) violated Standard I(A), but he did not violate Standard I(C). ✗

C) did not violate either Standard I(A) or Standard I(C).

Explanation

Bellow did not violate Standard I(A): Knowledge of the Law because he sought advice of counsel and followed that advice. Bellow did not violate Standard I(C): Misrepresentation because he made reasonable and diligent efforts to ensure the accuracy of the information and to avoid any material representation.

(Module 20.1, LOS 20: I(A))

Question #143 of 200

Question ID: 1675420

An analyst who is a CFA Institute member receives an invitation from a business associate's firm to spend the weekend in a high-quality resort. To abide by the Standards, the analyst should (may):

A) refuse the invitation if the associate is from a firm he analyzes for his employer.

B) refuse the invitation if the associate is from a firm he analyzes for his employer, and obtain written consent from his supervisor if the offer is contingent on achieving a target investment return.

C) obtain written consent from his supervisor if the offer is contingent on achieving a target investment return.

Explanation

According to Standard I(B): Independence and Objectivity, the analyst should refuse the invitation if it is from a firm the analyst covers for his employer. The analyst can accept the invitation if it is from a client, but the analyst must get written consent from his employer if the offer is contingent on future performance, to comply with Standard IV(B): Additional Compensation Arrangements.

(Module 20.1, LOS 20: I(B))

Question #144 - 149 of 200

Question ID: 1675451

Did Hogue violate any CFA Institute Standards of Professional Conduct by meeting with Brazilian economic and government officials or by photocopying the economic report?

	Meeting	Photocopying
A)	No	Yes

B) Yes Yes

C) No No

Explanation

In meeting with the officials, Hogue is performing proper due diligence on the Brazilian market to support his recommendations to clients. This is entirely appropriate. There is no indication that he is being inappropriately influenced by the policymakers, and the meeting is not a violation of the Standards. By photocopying the report, however, Hogue has violated Standard I(D): Misconduct. Under the Standard, he is not to commit any professional act involving dishonesty or deceit or conduct himself in a way that reflects poorly on his professional reputation, integrity, or competence. The report was marked confidential, and Hogue was instructed to return it after he had a chance to read it. The intent was not to distribute the report for Hogue's professional benefit. He has, therefore, deceived the officials by photocopying the report without receiving permission.

(Module 20.1, LOS 20.a)

Question #145 - 149 of 200

Question ID: 1675452

During his first meeting with the Brazilian brokers and stock exchange members, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) Yes, as he broke client confidentiality by revealing their plans to purchase BAI stock.

B) No.

C) Yes, as he attempted to manipulate the market price of a Brazilian security.

Explanation

Hogue clearly exaggerated the American investors' interest in BAI stock in an attempt to get local market participants to buy the stock in anticipation of increased American investment. By pumping the stock, the price rose, and Hogue sold the Brazil Fund position and recommended investors do the same to take advantage of the artificially high prices. Hogue cites poor business prospects in his sell recommendation, a clear indication of his devious intent in claiming the high level of interest from American investors. By manipulating market prices in Brazil, Hogue has violated Standard II(B): Market Manipulation.

(Module 20.1, LOS 20.a)

Question #146 - 149 of 200

Question ID: 1675453

Did the increased trading volume contract that Hogue negotiated between the Brazilian market specialists for the BDB stock violate any CFA Institute Standards of Professional Conduct?

A) Yes, as the intent of the contract is to distort the trading volume of BDB to attract investors. ✗

B) No. ✓

C) Yes, as the contract allows the traders to place their transactions ahead of client transactions. ✗

Explanation

The contract is fully disclosed to potential investors in the marketing collateral. Thus, investors can evaluate for themselves the true cost of the transactions. Therefore, the intent of the increased liquidity is not to deceive investors, but to increase the market liquidity and ease of trading for foreign investors. The contract does not violate Standard II(B): Market Manipulation because it is disclosed. If it were not disclosed, however, it would constitute a violation.

(Module 20.1, LOS 20.a)

Question #147 - 149 of 200

Question ID: 1675454

When he distributed his buy and sell recommendations on BDB and BAI, respectively, did Hogue violate any CFA Institute Standards of Professional Conduct?

A) Yes, as he has issued two versions of the same report, which disadvantages clients paying lower fees. ✗

B) Yes, as he has released the two versions of the report at different times. ✓

C) No. ✗

Explanation

Standard III(B): Fair Dealing requires members and candidates to deal fairly with their clients. Hogue can offer different levels of service, so long as it is disclosed to his clients and all service levels are available to all clients. Because his Tier 1 clients pay higher fees, the depth of research they receive may be greater than the Tier 2 clients without violating the Standard. By releasing the reports at different times, however, the Tier 2 clients are put at a great disadvantage simply because they subscribe to a lesser level of service. This is a violation of Standard III(B), which says that members can offer different services to clients, but different levels of service must not disadvantage clients.

(Module 20.1, LOS 20.a)

Question #148 - 149 of 200

Question ID: 1675455

Has Hogue violated any CFA Institute Standards of Professional Conduct with respect to the time period of returns and method of calculating returns used in his performance presentation?

	Time period	Calculation method	
A)	No	Yes	✗
B)	Yes	No	✓
C)	Yes	Yes	✗

Explanation

According to Standard III(D): Performance Presentation, Hogue must disclose the fact that the 10-year performance history of the fund comprises 5 years of his performance and 5 years of his predecessor's performance. By not disclosing this, the presentation is misleading and violates Standard III(D). It does not matter that the investment styles are similar or that he believes most investors are only interested in the last five years of data. Performance presentations need to be fair, accurate, and complete. His method of calculating returns before fees and taxes on a market-value-weighted basis is acceptable and fully disclosed. Therefore, the calculation methodology does not constitute a violation of Standard III(D).

(Module 20.1, LOS 20.a)

Question #149 - 149 of 200

Question ID: 1675456

By charging Tier 1 and Tier 2 clients different fees, has Hogue violated any CFA Institute Standards of Professional Conduct?

A) No. ✓

B) Yes, as having two classes of clients inappropriately discriminates against the lower-fee clients. ✗

C) Yes, as having two classes of clients is a form of investment fraud. ✗

Explanation

Hogue is allowed to offer different levels of service without violating Standard III(B): Fair Dealing as long as the different levels of service are fully disclosed and offered to all clients and prospects. Hogue has his Tier 2 clients sign a waiver indicating they are aware of the different levels of service offered by the firm. Thus, he has complied with the Standard.

(Module 20.1, LOS 20.a)

Question #150 of 200

Question ID: 1675536

Dan Jeffries is a portfolio manager who is being sued by one of his clients for inappropriate investment advice. The Professional Conduct Program (PCP) of CFA Institute is investigating Jeffries for the same offense. Jeffries settles the lawsuit with the client while the PCP investigation is ongoing. When the PCP staff questions Jeffries about the problematic investment advice, Jeffries claims he cannot talk about it because doing so would violate the confidentiality of his client. Jeffries has:

A) violated the Standards by refusing to talk about the case with the PCP, but not by executing the settlement agreement. ✓

B) violated the Standards by executing the settlement agreement, but not by refusing to talk about the case with the PCP. ✗

C) not violated the Standards by executing the settlement agreement or by refusing to talk about the case with the PCP. ✗

Explanation

Because the PCP will maintain client confidentiality, Standard III(E): Preservation of Confidentiality does not permit members to refuse to cooperate with a PCP investigation because of confidentiality concerns. The Standards do not require members to delay dealing with related legal matters while a PCP investigation is in progress.

(Module 20.1, LOS 20.a)

Question #151 of 200

Question ID: 1675486

Paul Drake is employed by a company to provide investment advice to participants in the firm's 401(k) plan. Company stock is one of the investment options in the plan. Drake feels that the stock is too risky for employees to own in their 401(k) plan and starts advising them to pull out of the stock. The treasurer of the company calls Drake and tells him that he will be fired if he continues making such advice because he is violating his fiduciary duty to the company. Drake should:

A) make sell recommendations, but point out that the company treasurer has a differing and valid point of view. ✗

B) tell employees that he cannot provide advice on company stock because of a conflict of interest. ✗

C) continue to advise employees to sell their stock. ✓

Explanation

Although Drake is paid by the company, his fiduciary duty is to the plan participants. His advice cannot be compromised by business considerations; otherwise, he will be violating the Standard on loyalty, prudence, and care.

(Module 20.1, LOS 20.a)

Question #152 of 200

Question ID: 1675380

If an analyst suspects a client or a colleague of planning or engaging in ongoing illegal activities, which of the statements about the actions that the analyst should take is *most correct*? According to the CFA Institute Standards of Professional Conduct, the analyst should:

A) consult counsel to determine the legality of the activity and disassociate from any illegal or unethical activity if the member has reasonable grounds to believe that the activity is illegal or unethical. ✓

B) disassociate from any illegal or unethical activity if the member has reasonable grounds to believe that the activity is illegal or unethical. ✗

C) consult counsel to determine the legality of the activity. ✗

Explanation

According to the procedures for compliance involving Standard I(A), CFA Institute members should determine legality and disassociate from any illegal or unethical activity.

(Module 20.1, LOS 20: I(A))

Question #153 of 200

Question ID: 1675383

Jason Blackwell, CFA, works as an investment manager for Mega Capital (Mega), a large multinational brokerage firm. Mega is based in a country whose applicable law is stricter than the CFA Institute Code and Standards, but it does business with clients in a country whose applicable law is less strict than the Code and Standards. Blackwell decides to follow the requirements of the Code and Standards for clients in the less strict country, which is sufficient to also comply with that less strict country's local laws. While Blackwell is still employed at Mega, Lego Associates verbally asks Blackwell to review client portfolios during evenings and weekends for a fee. Blackwell gets written consent from his immediate supervisor at Mega to undertake this independent activity for a one-month trial basis.

Which of the following statements about Blackwell's actions involving Standard I: Professionalism, and Standard IV(A): Loyalty is *most accurate*? Blackwell:

A) violated Standard I, but he did not violate Standard IV(A).

B) violated both Standard I and Standard IV(A).

C) did not violate either Standard I or Standard IV(A).

Explanation

Blackwell violated Standard I: Professionalism. Blackwell must comply with the strictest requirements among the laws of the country where his firm is based, the CFA Institute Code and Standards, and the laws of the country where he is doing business. Because the applicable laws in Mega Capital's home country are stricter than the Code and Standards, Blackwell must additionally adhere to that more strict law.

(Module 20.1, LOS 20: I(A))

Question #154 of 200

Question ID: 1675478

Which of the following statements about soft dollars is *least accurate*?

A) Directed brokerage are soft dollars to be used for research that benefits the investment firm.

B) Soft dollars are third-party research arrangements.

C) Soft dollars are assets of the client.

Explanation

Directed brokerage are soft dollars directed by the client to the investment manager to pay for goods and services that benefits the client only, and not the firm.

(Module 20.1, LOS 20.a)

Question #155 of 200

Question ID: 1675564

Victor Logan is a portfolio manager for McCoy Advisors, and Jack Brisco is the director of research for McCoy. Brisco has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the McCoy model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. Brisco frequently alters the model based on rigorous research an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers then make specific sector and security holding decisions, purchasing only securities that are indicated as buys by the model. Logan has conducted very thorough research on his own, using the same process that Brisco uses to validate his findings. Logan feels the model is missing some key elements that would further reduce the list of acceptable securities to purchase; however, Brisco has refused to look at Logan's research. Frustrated by this, Logan applies his own version of the model, with the justification that he is still only purchasing securities on the buy list. Because of the conflict with Brisco, he does not disclose the use of the model to anyone at McCoy or to clients. Which of the following statements regarding Logan and Brisco is correct? Logan is:

A) violating the Standards by applying his version of the model and by not disclosing it to clients. Brisco is not violating the Standards. ✗

B) not violating the Standards by applying his version of the model, but he is violating the Standards by not disclosing it to clients. Brisco is not violating the Standards. ✓

C) violating the Standards by applying his version of the model and by not disclosing it to clients. Brisco is violating the Standards by failing to consider Logan's research. ✗

Explanation

Because the research is thoroughly conducted, and Logan has authority to make individual security selection decisions, Logan is not violating the Standards by applying his model. However, Logan is violating the Standard on communication with clients and prospective clients by excluding relevant factors of the investment process. The use of his model is an important aspect of the investment process and should be disclosed to clients. Brisco is not violating the Standards by not considering Logan's research.

(Module 20.1, LOS 20.a)

Question #156 of 200

Question ID: 1675399

CFA Institute believes that:

A) a minimum level of professional responsibility and conduct dictates that members be aware of and comply with laws, rules, and regulations governing their conduct. ✓

B) a maximum level of professional responsibility and conduct dictates that members be aware of and comply with laws, rules, and regulations governing their conduct. ✗

C) firms should comply with all domestic laws and regulations, and that these laws also govern behavior in foreign markets, regardless of foreign laws and requirements. ✗

Explanation

CFA Institute's Code and Standards dictate a *minimum* level of conduct. Standards should not be based on ethics of upper management and the board of directors of a company. Firms must comply with the strictest applicable standards, whether they be foreign or domestic laws and regulations.

(Module 20.1, LOS 20: I(A))

Question #157 of 200

Question ID: 1675414

Nicholas Brynne, CFA, is a fixed-income analyst who trades in mortgage-backed securities (MBS). The MBS industry has seen sweeping regulatory changes since Brynne took his current position, and he now feels his understanding of applicable laws and regulatory standards is dated. Brynne must:

A) update his understanding of applicable laws and regulatory standards relating to his position. ✓

B) have all trades reviewed by his compliance department until he has obtained an expert level of knowledge in compliance. ✗

C) rely on his firm's policies and procedures for guidance on legal and regulatory standards. ✗

Explanation

See Standard I(A): Knowledge of the Law. Brynne should update his understanding of applicable laws and regulatory standards relating to his position, although he is not required to be an expert in compliance. Relying only on firm policies and procedures is not sufficient.

(Module 20.1, LOS 20: I(A))

Question #158 of 200

Question ID: 1675381

Bob Smith, CFA, is an independent board member of Atlantic Technologies (Atlantic), but he is not paid by the firm for his services. An employee at Atlantic informs Smith that Atlantic has improperly timed the booking of contracts to achieve the desired quarterly financial results. The misleading financial statements would turn losses into profits. Smith confers with the firm's legal counsel, who indicates that this conduct is, in fact, illegal. Smith urges Sharon White, Atlantic's chief financial executive, to change the financial statements, but she refuses to do so and indicates that the firm's external auditors have approved the method of revenue recognition she has used. According to CFA Institute Standards of Professional Conduct, which of the following actions is *least likely* appropriate for Smith in this situation?

A) Report the illegal activity to CFA Institute. ✓

B) Dissociate from the activity by resigning as a director or by reporting the activities to the appropriate authorities. ✗

C) Bring his concerns to the other board members. ✗

Explanation

Reporting violations of the Standards to the CFA Institute may be appropriate for concerns about a member's conduct, but it is not the proper avenue for reporting corporate malfeasance in general. Members must dissociate from any activity they know is illegal, and if Smith cannot get his firm to correct the misleading financial report, he must leave the board. There are intermediate steps that Smith can take to remedy the situation. Smith may bring his concerns to the other board members to get the firm to stop the illegal activity. If the board will not remedy the situation, dissociating from the board may be Smith's only way to remain in compliance with the Code and Standards.

(Module 20.1, LOS 20: I(A))

Question #159 of 200

Question ID: 1675408

Allen Parsons, a CFA candidate, suspects a colleague at his firm of engaging in an illegal activity. Which of the following statements about procedures for compliance involving Standard I(A): Knowledge of the Law is not correct? Parsons:

A) should consult counsel to determine whether the conduct is, in fact, illegal. ✗

B) is required to report this legal violation to the appropriate government or regulatory organizations. ✓

C) should urge his firm to attempt to persuade the perpetrator to cease such conduct.

Explanation

Standard I(A): Knowledge of the Law does not require that Parsons report legal violations to the appropriate government or regulatory organizations, but such disclosures may be appropriate under certain circumstances.

(Module 20.1, LOS 20: I(A))

Question #160 of 200

Question ID: 1675582

One year ago, Karen Jason left the employment as a portfolio manager of Howe Advisors. The departure was contentious, and both parties threatened legal action. As a result, both parties signed a settlement in which Jason was paid a prorated bonus, but she agreed not to work on the portfolios of any existing Howe client for two years. The terms of the agreement were that both parties agreed to keep all aspects of the agreement confidential, including the fact that there was hostility surrounding the departure. Jason now works for Torre Advisors, who has the Stein Company as a new client. At the time Jason left Howe, Stein was a client of Howe, although Jason did not personally work on the Stein portfolio. Jason's supervisor at Torre wants Jason to work on the Stein portfolio. Jason should:

A) inform her supervisor that she cannot work on the portfolio because of a noncompete agreement.

B) inform her supervisor that she cannot work on the portfolio because of a legal agreement, but cannot tell him why.

C) work on the portfolio because she did not personally work on the portfolio when she was at Howe.

Explanation

Jason must inform her supervisor of the conflict, but she cannot violate the terms of the confidentiality agreement, and she cannot work on the portfolio.

(Module 20.1, LOS 20.a)

Question #161 of 200

Question ID: 1675416

Steve Reese, CFA, an equity analyst for Bison Investments, has just completed his extensive research on the long-term prospects of ThetaCorp, a small technology firm that creates medical software for hospitals and other medical clinics. Reese has determined that the economic outlook for ThetaCorp warrants issuing a buy recommendation and has reflected this long-term view in his report, which is being reviewed by Bison's compliance department. The head of Bison's investment banking department, Mark Hazel, CFA, learned of the report and called Reese to suggest that he increase his recommendation to a strong buy in an effort to support Bison's bid to be retained as the lead underwriter for an upcoming bond issue by ThetaCorp. Hazel explained that the level of risk that Reese has assigned to ThetaCorp is too high—and that with a slight downward adjustment, a strong buy recommendation would be justified. Reese agreed to the adjustment and updated his report; he then resubmitted to the compliance department, which gave its official approval for distribution. According to CFA Institute Standards of Professional Conduct, which of the following is correct? Reese has:

A) violated the Standards by failing to maintain his independence and objectivity. ✓

B) violated the Standards by failing to deal fairly with all of Bison Investments' clients. ✗

C) not violated the Standards because he has reasonable basis to support a strong buy recommendation. ✗

Explanation

According to Standard I(B): Independence and Objectivity, members and candidates must not allow other entities to compromise the independence and objectivity of their professional activities. Reese has allowed Hazel to materially influence his research report. Hazel is the head of Bison's investment banking department, which may have interests at odds with the equity research department. Ideally, the firm would build a firewall to prevent such communication between departments.

(Module 20.1, LOS 20: I(B))

Question #162 of 200

Question ID: 1675418

According to CFA Institute Standards of Professional Conduct, which of the following is *least likely* a compliance procedure for maintaining independence and objectivity in making investment recommendations or taking investment action?

A) Maintain files to support investment recommendations. ✓

B) Restrict special cost arrangements related to travel. ✗

C) Create a restricted list so that the firm disseminates only factual information about a controversial company.

Explanation

Maintaining files to support investment recommendations is not a compliance procedure for Standard I(B): Independence and Objectivity, but it is a compliance procedure for Standard V(C): Record Retention.

(Module 20.1, LOS 20: I(B))

Question #163 of 200

Question ID: 1675459

Chuck Thomas is the trustee of a trust of which Jill Wyatt is the main beneficiary. Wyatt's husband is the president of a company. In emptying the recycling bin at home, Wyatt finds some papers that lead her to believe that her husband's company will make a tender offer to acquire another firm. Wyatt takes the information to Thomas, who uses it to purchase shares of the company for the trust, but does not further disclose the information. Thomas has:

A) violated the Standards concerning loyalty, prudence, and care.

B) not violated any Standards.

C) violated the Standards concerning material nonpublic information.

Explanation

Thomas cannot act or cause others to act on material nonpublic information. Standard II(A) provides a listing of what is "material" information. In that regard, information relating to a tender offer constitutes material nonpublic information.

(Module 20.1, LOS 20.a)

Question #164 of 200

Question ID: 1675387

Benito Salvatore, CFA, is licensed in the established country of Oldworld but has clients and makes investments in the emerging country of Newworld. The regulations of Oldworld prohibit licensed investment professionals from taking gifts or gratuities in any amount from vendors or persons connected with potential investments. The laws of Newworld are silent on this issue. Unsolicited, Salvatore is offered a vase worth USD 75 by a Newworld trust company and a bronze statue worth USD 200 by a Newworld company that Salvatore is considering as a potential investment.

Salvatore is:

A) permitted to accept the vase but not the statue. ✗

B) not permitted to accept either gift. ✓

C) permitted to accept both gifts. ✗

Explanation

Under Standard I(A), Salvatore must, as a CFA charterholder, apply the CFA Institute Code and Standards or the controlling law, whichever is stricter. In this instance, the stricter laws of Oldworld, where Salvatore is licensed, apply to prohibit the gifts, even though the gifts are offered in Newworld.

(Module 20.1, LOS 20: I(A))

Question #165 of 200

Question ID: 1675410

Robe Advisory Services operates an office in San Francisco, where it manages portfolios for its clients based in the United States. The firm also maintains an office in Tokyo, where it employs Sam Lee, CFA, who researches Japanese stocks. According to the CFA Institute Standards of Professional Conduct, Lee is required to maintain knowledge of and comply with all applicable laws, rules, and regulations in:

A) both the United States and Japan, but not the CFA Institute Standards of Professional Conduct. ✗

B) Japan, but not the United States or the CFA Institute Standards of Professional Conduct. ✗

C) both the United States and Japan and the CFA Institute Standards of Professional Conduct. ✓

Explanation

To abide by the Standards, employees who work for foreign-based firms are required to apply the stricter of the foreign (here, U.S.) law, the domestic (here, Japanese) law, or CFA Institute Standards.

(Module 20.1, LOS 20: I(A))

Question #166 of 200

Question ID: 1675401

Under Standard IV(A): Loyalty (to employers):

A) members are encouraged to leave an employer that does not adopt the Code and Standards as part of its policies and procedures. ✗

B) it is recommended that members deliver a copy of the Code and Standards to their employer. ✓

C) members are required to deliver a copy of the Code and Standards to their employer. ✗

Explanation

Standard IV(A): Loyalty recommends (not requires) that members and candidates provide their employer with a copy of the Code and Standards and notify their employer that they are required to follow the Code and Standards. There is no recommendation to leave a firm simply because the Code and Standards have not been adopted by the firm in its policies and procedures.

(Module 20.1, LOS 20: I(A))

Question #167 of 200

Question ID: 1675407

A CFA Institute member is also a member and the portfolio manager of an environmentalist group. In its charter, the environmentalist group lists a group of companies its members should boycott. The CFA Institute member would violate Standard I(A) concerning obeying all rules and regulations if the member:

A) either purchases stock of a boycotted firm for the group's portfolio or actively protests against a publicly traded firm boycotted by the group. ✗

B) actively protests against a publicly traded firm boycotted by the group. ✗

C) purchases stock of a boycotted firm for the group's portfolio. ✓

Explanation

Standard I(A) says the member must be guided by all applicable rules and regulations of professional associations governing the member's professional activities. Purchasing the stock for the firm would be a violation because it involves the member's professional activities and the rules of a group to which the member belongs and works for. Actively protesting would not be covered by that standard.

(Module 20.1, LOS 20: I(A))

Question #168 of 200

Question ID: 1675425

Marjorie Kitunen, CFA, works for an investment management firm in its compliance department. She is reviewing the content of a monthly newsletter before it is sent to the firm's clients. Which of the following references to the CFA designation in the newsletter should she reject to comply with the CFA Institute Code and Standards?

A) "Curtis Manning is a new CFA charterholder at our firm." ✗

B) "Aaron Anderson enrolled in the CFA Program to obtain the highest set of credentials in the global investment management industry." ✗

C) "Long-term studies have shown that among investment advisors, CFA charterholders achieve better performance results." ✓

Explanation

Any claim or implication of superior ability (i.e., "achieve better performance results") by virtue of being a CFA charterholder is prohibited under Standard VII(B).

The letters CFA can only be used as an adjective, and not as a noun.

The reference "the highest set of credentials in the global investment management industry" is considered a statement of fact and is included as an example of a proper reference under Standard VII(B).

(Module 20.1, LOS 20.b)

Question #169 of 200

Question ID: 1675400

John Martin, an analyst, discovers that Jurix Co. has knowingly misstated information in its prospectus. To comply with CFA Institute's Code of Ethics and Standards of Professional Conduct, Martin's *most appropriate* course of action is to:

A) call the appropriate regulatory agency and report the action. ✗

B) resign from his job to disassociate from the potentially illegal activity. ✗

C) report the finding to the appropriate supervisory person in his firm.

Explanation

To comply with the Code and Standards, Martin should notify the appropriate supervisory person in his firm of the violation.

(Module 20.1, LOS 20: I(A))

Question #170 of 200

Question ID: 1675384

A member who suspects that a colleague is violating the law should *most appropriately*:

A) report the illegal activity to the appropriate regulatory agency.

B) report the illegal activity to CFA Institute Professional Conduct Program for action.

C) consult with the company counsel to determine if, in fact, a law is being violated.

Explanation

Standard I(A): Knowledge of the Law applies in this situation. According to this Standard, members must not knowingly participate or assist in, and must dissociate from, any violation of laws, rules, or regulations.

When members suspect a client or a colleague of planning or engaging in ongoing illegal activities, members should take the following actions:

- **Consult counsel** to determine if the conduct is, in fact, illegal.
- **Disassociate** from any illegal or unethical activity. When members have reasonable grounds to believe that a client's or employee's activities are illegal or unethical, the members should disassociate from these activities and urge their firm to attempt to persuade the perpetrator to cease such activity.

Note: The Code and Standards do not require that members report legal violations to the appropriate government or regulatory organizations, but such disclosure may be prudent in certain circumstances.

(Module 20.1, LOS 20: I(A))

Question #171 of 200

Question ID: 1675403

Mary White, CFA, sits on the board of directors of XYZ Manufacturing, Inc. She discovers that management has knowingly participated in an activity she knows is illegal. According to the CFA Institute Standards of Professional Conduct, White is *least likely* to be required to:

A) seek legal advice to determine what actions should be taken. ✗

B) disassociate herself from the activity. ✗

C) report the violation to the CFA Institute Professional Conduct Program. ✓

Explanation

Members are encouraged—but not required—to report violations of others under Standard I(A): Knowledge of the Law (prohibition against knowingly practicing or assisting in violation of laws, rules, and regulations). If White knows that someone has engaged in a possible illegal activity, she should (1) report the finding to the appropriate supervisory person at her firm; (2) if the situation is not remedied, disassociate herself from the situation; and (3) seek legal advice to see what other actions, such as notifying the proper regulatory agency, should be taken.

(Module 20.1, LOS 20: I(A))

Question #172 of 200

Question ID: 1675538

Ned Brenan manages two dozen pension accounts, one of which earned over 25% during the past two years. Brenan tells prospective clients that based on past experience, they can expect a 25% return on their funds. Which of the following statements is correct?

A) Brenan has not violated Standard of Professional Conduct III(D): Performance Presentation, but Brenan has violated Standard I(C): Misrepresentation. ✗

B) Brenan has violated both Standard of Professional Conduct III(D): Performance Presentation and Standard I(C): Misrepresentation. ✓

C) Brenan has violated Standard of Professional Conduct III(D): Performance Presentation, but Brenan has not violated Standard I(C): Misrepresentation. ✗

Explanation

Brenan violated Standard of Professional Conduct III(D) by using only one portfolio's results to create a false impression of all the portfolios, and Brenan violated Standard of Professional Conduct I(C) by creating the impression that a certain return was assured (he should have used the words *might* or *could* instead of *can*).

(Module 20.1, LOS 20.a)

Question #173 of 200

Question ID: 1675562

Preston Partners is an investment management firm that adopted the Code and Standards as part of its policy manual. Gerald Smithson, CFA, has recently added the stock of Utah Biochemical Company and Norgood PLC to all his client's investment portfolios. Shortly afterward, Utah Biochemical and Norgood announced a merger that increased the share price of both companies. Smithson contends he saw the president of Utah Biochemical dining with the chairman of Norgood, but he did not overhear their conversation. Smithson researched both companies extensively and determined that each company was a good investment. He put in a block trade for shares in each company. Preston's policies were not clear in this area, as he allocated the shares by starting with his largest client accounts and working down to the small accounts. Some of Smithson's clients were very conservative personal trust accounts; others were pension funds that had aggressive investment objectives. Which standard was not broken?

A) Standard III(C): Suitability. ✗

B) Standard IV(C): Responsibilities of Supervisors. ✗

C) Standard V(A): Diligence and Reasonable Basis. ✓

Explanation

Standard V(A): Diligence and Reasonable Basis was not broken because Smithson conducted thorough and diligent research. With Standard III(C): Suitability, Smithson failed to consider the needs of his conservative and aggressive clients. With Standard IV(C): Responsibilities of Supervisors, Preston Partners didn't have policies explaining how to allocate shares among clients.

(Module 20.1, LOS 20.a)

Question #174 of 200

Question ID: 1675490

Denise Weaver is a portfolio manager who manages a mutual fund and has pension clients. When Weaver receives a proxy for stock in the mutual fund, she gives it to Susan Griffith, her administrative assistant, to complete. When the proxy is for a stock owned in a pension plan, she asks Griffith to send the proxy on to the sponsor of the pension fund. Weaver has:

A) violated the Standards by her policy on mutual fund and pension fund proxies. ✓

B) not violated the Standards. ✗

C) violated the Standards by her policy on mutual fund proxies, but not her policy on pension fund proxies. ✗

Explanation

Proxies should be taken seriously, and although it is likely that Griffith can understand some of the issues, it is likely that she is not capable of making responsible decisions on all potential proxy issues. Proxies for a pension plan should be voted in the best interests of the beneficiaries, not the plan sponsor. The sponsor's interests will not always be the same as the beneficiary's interest.

(Module 20.1, LOS 20.a)

Question #175 of 200

Question ID: 1675533

Janine Walker is an individual investment advisor with 200 individual clients. When she first obtains a client, Walker solicits personal data that helps her formulate an investment recommendation, including tax status, income, expenditure needs, and risk tolerance. The Standards:

A) require Walker to update the data regularly.

B) require updating a client's data only when a material change occurs to the personal data.

C) only require to update a client's data when a material change is being made to the clients' portfolios.

Explanation

According to Standard III(C): Suitability, members and candidates must reassess client information and update regularly.

(Module 20.1, LOS 20.a)

Question #176 of 200

Question ID: 1675386

Joan Platt, CFA, operates an investment advisory service in New York but maintains an office in Xania. Xania recently established a stock market that is not very efficient. None of the Xanian stocks trade in the U.S. market. Xania legally permits the use of material inside information. Platt believes that using inside information would help her compete against other Xanian investment advisors and would help some of her Xanian clients reach their investment objectives. Platt is considering adopting local investment practices in Xania. According to CFA Institute Standards of Professional Conduct, Platt may:

A) use material inside information, but only after notifying CFA Institute.

B) use material inside information because Xania legally permits this practice.

C) not use material inside information.

Explanation

Because applicable law involving material inside information is less strict than the Code and Standards, Platt must adhere to the Code and Standards. Standard II(A) prohibits against the use of material nonpublic information.

(Module 20.1, LOS 20: I(A))

Question #177 of 200

Question ID: 1675417

An analyst is told by his supervisor that when he feels he should write a buy recommendation, he is free to do so—and when he feels he should write a sell recommendation, he should check with the supervisor first. This practice is *most likely*:

A) in violation of Standard V(B): Communications with Clients and Prospective Clients.

B) in violation of Standard I(B): Independence and Objectivity.

C) consistent with the Code of Ethics and Standards of Professional Conduct.

Explanation

The policy dictated by the supervisor would infringe upon the analyst's independence and objectivity. It may discourage the analyst from making sell recommendations—and, furthermore, it may present the opportunity for the supervisor to try and change the analyst's mind.

(Module 20.1, LOS 20: I(B))

Question #178 of 200

Question ID: 1675461

Lee Roth, an investment advisor, is riding in a taxi and finds a file of information labeled "Genco Valuation." The folder contains a great deal of financial data, projections, and nonpublic information concerning the food products industry that lead Roth to believe that Genco will be worth 50% more than its current stock value. Roth also finds some correspondence that leads him to believe that the file belonged to Tom Hagan. Roth tries to find out where Hagan works so he can return the file. Roth:

A) cannot recommend Genco to his clients at this time.

B) can recommend Genco to his clients unless Hagan works for the equity research department for a brokerage firm. ✗

C) can recommend Genco to his clients unless Hagan works for the corporate finance department for Genco. ✗

Explanation

The information is material and nonpublic; therefore, Roth cannot act or cause others to act at this time.

(Module 20.1, LOS 20.a)

Question #179 of 200

Question ID: 1675575

Janice Melfi is a portfolio manager for Soprano Advisors. Soprano has developed a proprietary model that has been thoroughly researched and is known throughout the industry as the Soprano model. The model is purely quantitative and screens stocks into buy, hold, and sell categories. The basic philosophy of the model is thoroughly explained to clients. The director of research frequently alters the model based on rigorous research—an aspect that is well explained to clients, although the specific alterations are not continually disclosed. Portfolio managers use the model to assist them in making portfolio decisions, but, based on their own fundamental research, are allowed to purchase securities not recommended by the model. This fact is not disclosed to the clients, because the head of marketing does not think it is relevant. Which of the following statements regarding the portfolio manager's investment decisions is correct?

A) Melfi is violating the Standards by using two investment processes that are in conflict with each other. ✗

B) There is no violation of the Standards. ✗

C) Soprano is violating the Standards by not disclosing the fundamental research aspect of the investment process. ✓

Explanation

Soprano is violating the Standard on portfolio investment recommendations and actions by excluding relevant factors of the investment process. The fundamental research aspect is highly relevant to the process and should be disclosed to clients. It is acceptable for Melfi to use two investment processes that may be in conflict with each other and to use a process that was not developed by her.

(Module 20.1, LOS 20.a)

Question #180 of 200

Question ID: 1675483

Jim Kent is an individual investment advisor in San Francisco with 300 clients. Kent uses open-ended mutual funds to implement his investment policy. For most of his clients, Kent has used the Baker fund, a small company growth fund based in Boston, for a portion of their portfolio. As a result, he has become very friendly with Keith Dunston, the manager of the fund, whom Kent feels is mainly responsible for Baker's performance. One day, Dunston calls Kent and tells him that he will be leaving the fund in four weeks and moving to San Francisco to work for a different money management company. Dunston is seeking suggestions on housing in the area. The Baker fund has not yet announced Dunston's departure. Kent immediately finds a fund that is a suitable replacement for the Baker fund, and over the next two days, he calls his 30 clients with the largest dollar investments in the funds and tells them he feels they should switch their holdings. The Baker fund feels the remaining clients' positions are small enough to wait for their annual review to switch funds. Kent has:

A) violated the Standards by not dealing fairly with clients, but has not violated the Standards regarding material nonpublic information. ✓

B) violated the Standards by not dealing fairly with clients and regarding material nonpublic information. ✗

C) violated the Standards regarding nonpublic information, but has not violated the Standards in failing to deal fairly with clients. ✗

Explanation

Kent must treat all clients fairly in acting on the information, regardless of the size of the investment. The information concerning the fund manager's departure is not material nonpublic information because its release would have no effect on individual stock prices within the fund; thus, it should not impact the fund's net asset value.

(Module 20.1, LOS 20.a)

Question #181 of 200

Question ID: 1675581

Judy Gonzales is a portfolio manager with Brenly Capital and works on Johnson Company's account. Brenly has a policy against accepting gifts over $25 from clients. The Johnson portfolio has a fantastic year, and in appreciation, the pension fund manager sent Gonzales a rare bottle of wine. Gonzales should:

A) inform her supervisor in writing that she received additional compensation in the form of the wine. ✗

B) return the bottle to the client explaining Brenly's policy.

C) present the bottle of wine to her supervisor.

Explanation

By not returning the bottle, she would be violating the Standard on disclosure of conflicts to the employer, which states that employees must comply with prohibitions imposed by their employer.

(Module 20.1, LOS 20.a)

Question #182 of 200

Question ID: 1675583

Ken James has been an independent financial advisor for many years. He became a CFA charterholder 20 years ago but did not feel it helped his business, so he finally let his dues lapse this year. He still has several hundred business cards with the CFA designation printed on them. His promotional materials state that he received the CFA charter 20 years ago. James:

A) must cease distributing the cards with the CFA designation, but he can continue to use the existing promotional materials.

B) can continue to use the existing promotional materials, and can use the cards until his supply runs out—his new cards cannot have the designation.

C) must cease distributing the cards with the CFA designation and the existing promotional materials.

Explanation

Use of the CFA designation must be stopped immediately; however, the receipt of the charter is a statement of fact and may continue to be stated in his promotional materials.

(Module 20.1, LOS 20.a)

Question #183 - 188 of 200

Question ID: 1675437

Is it *likely* that GlobalBank's trade allocation policy violated the CFA Institute's Standards of Professional Conduct?

A) Yes—the policy favors one group of clients over another and will disadvantage those clients who do not have multiple relationships with the firm.

B) No—the firm is allowed to offer different levels of service to its clients as long as the different levels are disclosed and available to all clients. ✗

C) No—the firm fully disclosed its allocation policy to all clients and employees. ✗

Explanation

The actions of GlobalBank are covered under Standard III(B): Fair Dealing. According to Standard III(B), members must deal fairly and objectively with all clients. Trade allocation procedures must be fair and equitable to ensure that investment opportunities are available to all clients. A firm may offer different levels of service to its clients, but a policy may not favor clients who have multiple relationships with the firm over those who do not. The Standards also recommend that a pro rata system, rather than an ad hoc system, be used to avoid conflict of interest.

(Module 20.1, LOS 20.a)

Question #184 - 188 of 200

Question ID: 1675438

According to CFA Institute's Standards of Professional Conduct, Fleming's execution of Waverly's trade order after confirming the appropriateness of the trade is *most likely*:

A) in violation of Standard I(C): Misrepresentation for not disclosing to Waverly that he did not read the marketing materials, but is not in violation of Standard III(C): Suitability because the client analyzed the investment thoroughly. ✗

B) in violation of Standard V(B): Communication with Clients and Prospective Clients for not separating fact from opinion, but is not in violation of Standard I(C): Misrepresentation because his guarantee of future investment performance was not a written representation. ✗

C) in violation of Standard V(A): Diligence and Reasonable Basis for not exercising diligence and thoroughness in his analysis of the investment and Standard III(C): Suitability for recommending an investment before determining if the investment was appropriate for the client. ✓

Explanation

Fleming violated Standard V(A): Diligence and Reasonable Basis because he was not familiar with the specifics of the investment, but he made an investment recommendation based upon his confidence in Waverly's investment expertise. Fleming is also in violation of Standard III(C): Suitability because his agreement with Waverly's investment decision was not based upon the suitability of the offering within the context of Waverly's total portfolio. Fleming also violated Standard I(C): Misrepresentation when he confirmed that Waverly should purchase shares in DCH's secondary offering but failed to inform the client that he had not analyzed the investment in any way. Waverly would reasonably expect Fleming to analyze an investment before its recommendation and was, therefore, misled by Fleming.

(Module 20.1, LOS 20.a)

Question #185 - 188 of 200

Question ID: 1675439

According to CFA Institute Standards of Professional Conduct, which of the following of Fleming's actions is *most likely* a violation of Standard I(C): Misrepresentation?

A) Fleming tells the CIO of the Crockett Foundation that DCH's secondary offering will earn at least the lowest return earned on its IPO shares over the last three years. ✓

B) Fleming executes the trades on DCH Corp. per Waverly's instructions without first referring to Waverly's IPS. ✗

C) Fleming tells the CIO of the Crockett Foundation that shares of DCH's IPO outperformed the S&P 500 by at least 15% in each of the last three years since the offering. ✗

Explanation

Standard I(C): Misrepresentation prohibits members and candidates from making any untrue statements or omissions of facts that may be false or misleading. Guaranteeing a particular rate of return on an investment is in direct violation of the standard. Fleming has essentially guaranteed a minimum rate of return on the secondary offering equal to the lowest rate of return earned on the IPO shares over the last three years. Even though a specific number isn't mentioned in the question, it would be observable by the Crockett Foundation. The other two choices might also be considered violations of the Standards, but they are not specifically violations of I(C): Misrepresentation, as noted in the question.

(Module 20.1, LOS 20.a)

Question #186 - 188 of 200

Question ID: 1675440

Which of the following statements *most accurately* assesses Fleming's comment about Waverly during his conversation with the chief investment officer of the Crockett Foundation? According to the Code and Standards, Fleming's statement is:

A) in violation of Standard III(E): Preservation of Confidentiality because of his failure to keep information about a client's investment action confidential. ✓

B) in violation of Standard I(C): Misrepresentation because his statement may be misleading with regard to future performance of the offering. ✗

C) not in violation of any Standard because he only disclosed factual information, and he did not disclose the details of Waverly's purchase. ✗

Explanation

According to Standard III(E): Preservation of Confidentiality, members and candidates must keep information about current, former, and prospective clients confidential unless the information concerns illegal activities, disclosure is required by law, or the client permits disclosure. By telling other clients of Waverly's investment actions, whether offering specific information on the trade or not, Fleming could adversely affect Waverly's investment in the offering.

(Module 20.1, LOS 20.a)

Question #187 - 188 of 200

Question ID: 1675441

According to CFA Institute Standards of Professional Conduct, did Fleming's conversation with the chief investment officer of the Crockett Foundation or his decision to sell GlobalBank's position in DCH stock *likely* violate Standard II(B): Market Manipulation?

	Conversation with CIO sell decision	Sell decision	
A)	No	Yes	✓
B)	Yes	Yes	✗
C)	Yes	No	✗

Explanation

Standard II(B): Market Manipulation prohibits practices that distort prices or artificially inflate trading volume with the intent to mislead market participants, including the dissemination of false or misleading information. Although Fleming's conversation included two prohibited comments (a guarantee of performance and an inappropriate disclosure of client information), he did not give the CIO of Crockett information in an attempt to manipulate prices or trading volume and thus did not violate Standard II(B). His decision to sell GlobalBank's shares of DCH, however, was intended to manipulate the price of DCH stock to intimidate smaller investors into withdrawing their purchase order in the secondary offering, thereby freeing up shares for his client, the Crockett Foundation. This action is clearly a violation of Standard II(B).

(Module 20.1, LOS 20.a)

Question #188 - 188 of 200

Question ID: 1675442

Is it *likely* that Fleming violated any CFA Institute Standards of Professional Conduct related to his meeting with the chief investment officer of the Crockett Foundation?

A) Yes—he failed to maintain appropriate records to support his investment recommendation. ✓

B) No—he maintained an IPS and followed established procedures in maintaining client records and data. ✗

C) No—he does not have a duty to maintain client records; only his employer does. ✗

Explanation

Standard V(C): Record Retention states that members and candidates must maintain appropriate records to support their investment recommendations and actions. Fleming maintained an IPS and records of conversations, but he is also required by the standard to keep research and other documentation supporting investment recommendations and actions, which Fleming did not do because the case facts suggest that the documentation was only maintained for nine months (his own established procedures). When there are no regulatory requirements related to record retention, the Standard recommends that members and candidates keep client records for a minimum of seven years.

(Module 20.1, LOS 20.a)

Question #189 of 200

Question ID: 1675481

Sharon Pope has been asked by the chief investment officer to develop a firm-wide policy for proxy voting. Which of the following would not be acceptable to include in the policy statement?

A) The value of proxy voting must be maximized.

B) Portfolio managers of active funds must vote in all proxies; portfolio managers of index funds should vote only when they have a definitive opinion.

C) Voting proxies may not be necessary in all instances.

Explanation

Proxies for stocks in passively managed funds must also be voted. A cost-benefit analysis may show that voting all proxies may not benefit all clients.

(Module 20.1, LOS 20.a)

Question #190 of 200

Question ID: 1675392

Rory Deal recently passed Level III of the CFA exam and just started his first job as an investment advisor for an asset management firm. He conscientiously maintains records of changes in security regulations to comply with Standard I(A): Knowledge of the Law when he notices his colleagues are not keeping similar records, and he does not say anything. Is this a violation of Standard I(A)?

A) Yes, and Deal should disassociate from his colleagues.

B) No.

C) Yes, because Deal is bound by the Code of Ethics.

Explanation

No CFA ethics standards or securities laws have been broken; thus, disassociation is not required, and Deal should consult with his supervisor if he feels a violation has occurred.

(Module 20.1, LOS 20: I(A))

Question #191 - 196 of 200

Question ID: 1675568

Under the CFA Institute Code and Standards, it is the responsibility of the Director of Research, a CFA Institute member, to:

A) not knowingly participate or assist in any violation of laws, rules, or regulations.

B) exercise reasonable supervision over those subject to their supervision or authority to prevent any violation of applicable statutes, regulations, or provisions of the Code and Standards.

C) both not knowingly participate or assist in any violation of laws, rules, or regulations, and exercise reasonable supervision over those subject to their supervision or authority to prevent any violation of applicable statutes, regulations, or provisions of the Code and Standards. ✓

Explanation

The director of research, as a CFA Institute member, is bound by the Standards of Professional Conduct. Accordingly, "members shall not knowingly participate or assist in any violation of such laws, rules, or regulations" [Standard I(A): Knowledge of the Law]. This responsibility is applicable under the circumstances. As a supervisor, the director of research has a responsibility to exercise reasonable supervision over subordinates to prevent violations of laws, regulations, and the provisions of CFA Institute Standards of Professional Conduct [Standard IV(C): Responsibilities of Supervisors].

(Module 20.1, LOS 20.a)

Question #192 - 196 of 200

Question ID: 1675569

Under the current circumstances, the director of research should:

A) require the report to be redone to ensure compliance with CFA Institute Standards. ✓

B) require the report to be redone with a neutral or hold rating pending the outcome of the awarding of the investment banking business. ✗

C) allow the report to be distributed, as is. ✗

Explanation

Based on the current circumstances, the supervisor (director of research) must not allow the report to be distributed. In this situation, the overriding responsibility is to ensure that diligence, thoroughness, and independence be exercised in forming the investment judgment and in preparing the research report.

(Module 20.1, LOS 20.a)

Question #193 - 196 of 200

Question ID: 1675570

The research report, as shown, has several aspects that violate CFA Institute Standards of Professional Conduct. Which of the following is not an apparent violation of CFA Institute Standards?

A) The report does not adequately discuss the factors important to analysis, recommendations, or action. ✗

B) The report violates guidelines on investment performance presentation. ✓

C) The report does not distinguish between fact and opinion. ✗

Explanation

There is no attempt in the report to present data on the firm's performance as an investment manager. Violations relating to the report itself include the following:

- Though SpecChem's current and prospective earnings are mentioned, no real basis of SpecChem's earnings power is discussed, nor are such factors as cash flow, operating strength, or financial condition. Brown has violated Standard V(B): Communication with Clients and Prospective Clients.
- The report fails to disclose Lang's market-making activities with SpecChem. This omission violates Standard VI(A): Disclosure of Conflicts.
- Brown is not separating fact from opinion in her comment, "There is plenty of room for upside earnings surprises if volume and prices improve further, which would take the stock up strongly." This is a violation of Standard V(B): Communication with Clients and Prospective Clients. The noted comment just listed could also be considered a violation of Standard I(C): Misrepresentation.

(Module 20.1, LOS 20.a)

Question #194 - 196 of 200

Question ID: 1675571

As to the process by which Brown's report in Exhibit B came into being, which of the following is *least likely* a procedural error in violation of CFA Institute Standards of Professional Conduct?

A) Brown has violated the Standard relating to the prohibition against plagiarism. ✓

B) Brown has violated the Standard relating to independence and objectivity. ✗

C) Brown has violated the Standard relating to disclosure of basic characteristics. ✗

Explanation

There is nothing to indicate that a violation of the Standard on prohibition against plagiarism has occurred. The word *process* violations include the following:

- Brown's report and investment conclusions were influenced by a senior member of her firm. In addition, near-total reliance was put on the information supplied by SpecChem's management. She has violated Standard I(B): Independence and Objectivity.
- Brown showed a lack of diligence and thoroughness in forming her investment decision and preparing the report. Her analysis was cursory at best; the report was not objective, nor was it based on adequate understanding of company fundamentals. Standard V(A): Diligence and Reasonable Basis was violated by Brown.
- A violation of Standard V(B): Communication with Clients and Prospective Clients has also occurred. Brown failed to investigate SpecChem's basic investment characteristics properly and did not communicate the company's investment characteristics through the research report.

(Module 20.1, LOS 20.a)

Question #195 - 196 of 200

Question ID: 1675572

Brown has been invited to visit the world headquarters of SpecChem. Brown expects that the information that she learns there will help her to flush out some of the fine details in her research on SpecChem's stock. SpecChem plans to pay for all of Brown's expenses, including meals, accommodations, and lodging. To comply with the Code and Standards, which of the following actions should Brown take? Brown should:

A) accept the reimbursement if she is confident that her report will still be objective. ✗

B) accept the reimbursement, but she should disclose the total reimbursed expense-paid trip in the report. ✗

C) pay for all of her travel expenses. ✓

Explanation

Brown's best solution to comply with Standard I(B): Independence and Objectivity is to avoid any perception of conflict of interest. Brown should pay for all of her expenses. Disclosing the trip is not enough to avoid a conflict of interest.

(Module 20.1, LOS 20.a)

Question #196 - 196 of 200

Question ID: 1675573

Brown submits her report to the director of research for review, as required by Lang's procedures. Although the director supports Brown's general conclusion, he is somewhat more optimistic about SpecChem's near-term prospects, and based on his own thorough investigation, he believes that the stock could touch $150. The director changes the report to indicate a target price somewhat higher than originally predicted by Brown. Brown is confident that the director's conclusion has a reasonable basis, but thinks that $150 is on the high side of what is likely. The director adds his own name to the report to reflect his contribution.

To comply with CFA standards, must Brown request that her name be taken off the report before it is disseminated?

A) No. ✓

B) Yes; Brown should dissociate from the report. ✗

C) Yes; the director has misrepresented his contribution. ✗

Explanation

It is natural for different contributors to come to different conclusions based on the same data. In this case, the director appears to have a reasonable basis for his target price that is higher than Brown's. The director is free to issue a report that differs somewhat from Brown's conclusions as long as there is a reasonable basis. Brown should not put her name on a report that differs from her opinion. However, when a report is a group effort, not all members of the team may agree with every aspect of the report. Brown could ask to have her name removed from the report, but because she is satisfied that the conclusion has a reasonable basis, she does not have to disassociate from the report.

(Module 20.1, LOS 20.a)

Question #197 - 200 of 200

Question ID: 1675473

In selling his clients' holdings in Aggregate, Watkins:

A) did not violate Standard II(A): Material Nonpublic Information because there was no breach of duty. ✗

B) did not violate Standard II(A): Material Nonpublic Information because the information did not involve a tender offer. ✗

C) violated Standard II(A): Material Nonpublic Information by taking investment action. ✓

Explanation

Watkins violated the CFA Institute Standards because the information was both material and nonpublic. It does not matter if the information was not misappropriated, not received in a breach of duty, or not related to a tender offer. Watkins still cannot trade or cause others to trade. CFA candidates are indeed subject to the CFA Institute Standards. While the misappropriated information did not involve a tender offer, Watkins's use of it still violated the Standards simply because it was material nonpublic information.

(Module 20.1, LOS 20.a)

Question #198 - 200 of 200

Question ID: 1675474

In advising his clients to sell Aggregate, Black:

A) violated Standard V(A): Diligence and Reasonable Basis because he did not have sufficient information to spur investment action. ✗

B) violated Standard III(B): Fair Dealing because he did not take his own advice and sell the stock. ✗

C) did not violate Standard I(B): Independence and Objectivity, but his supervisor violated Standard IV(C): Responsibilities of Supervisors. ✓

Explanation

Black's conduct does not violate Standard I(B), because a reasonable person would not call his independence into question, even though his ethics are suspect. Black's supervisor should have asked Black where he got the information before the research report was circulated, and the failure to do so means that the supervisor violated Standard IV(C). Black is also clearly in violation of Standard II(A): Material Nonpublic Information, because he would clearly have known that the information received from his brother was both material and nonpublic. However, Standard II(A) is not one of the choices. Black's failure to follow his own advice does not violate Standard III(B). Ignoring all of the other details, knowledge that an earnings restatement is possible could certainly be considered a reasonable basis to dump a stock, so Black did not violate Standard V(A).

(Module 20.1, LOS 20.a)

Question #199 - 200 of 200

Question ID: 1675475

After changing her recommendation on Aggregate, Sanders:

A) violated Standard II(A): Material Nonpublic Information by taking investment action based on information not accessible to the public. ✓

B) violated Standard VI(B): Priority of Transactions by trading Aggregate from her own account. ✗

C) did not violate Standard II(A): Material Nonpublic Information because the information was disclosed to a select group of analysts. ✗

Explanation

The way in which Aggregate handled the conference call was an instance of selective dissemination. Members and candidates must be aware that disclosure to selected analysts is not necessarily public disclosure. Thus, until the material information is made public, Sanders cannot trade or cause others to trade. Once the information is made public, Sanders must disseminate the information to her clients first and give them adequate time to act on the recommendation before trading for her own account. In the absence of knowledge of any company policy with stricter requirements, three hours is probably sufficient, and we cannot assume she violated Standard VI(B). Standard III(B) does not require equal dissemination of information, but rather fair dissemination. Nothing in the question indicated that Sanders disseminated the information unfairly.

(Module 20.1, LOS 20.a)

Question #200 - 200 of 200

Question ID: 1675476

In selling his fund's stake in Aggregate, Martinez:

A) violated Standard III(A): Loyalty, Prudence, and Care by using information obtained from Watkins. ✗

B) violated no standards. ✗

C) violated Standard II(A): Material Nonpublic Information by using information obtained from Watkins. ✓

Explanation

Martinez was aware of how Watkins obtained the information; therefore, Martinez violated II(A) by trading on material nonpublic information. Martinez has no fiduciary duty to Watkins, and as such, did not violate Standard III(A). It would be difficult to argue that Cho's thorough research is not sufficient reason to trade Aggregate stock, so Martinez did not violate Standard V(A).

(Module 20.1, LOS 20.a)